

Ajanta Pharmaceuticals Ltd. (AJANTPHARM)

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Sub: Written transcript of Earnings call conducted on 28th July 2022

Dear Sir / Madam,

Further to our communication dated 29th July 2022 on earnings call, pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed written transcript of the earnings call held on 28th July 2022 at 5.00 p.m.

Further, written transcript has been uploaded on the Company's website and can be accessed through the link:
[http://www.ajantapharma.com/AdminData/Results/EarningsCallTranscriptQ1\(Apr-Jun\)2022-23.pdf](http://www.ajantapharma.com/AdminData/Results/EarningsCallTranscriptQ1(Apr-Jun)2022-23.pdf)

This is for your information and records please.
Yours faithfully,

GAURANG SHAH
VP – Legal & Company Secretary
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"Ajanta Pharma Limited
Q1 FY2023 Earnings Conference Call"

July 28, 2022

MANAGEMENT : MR. YOGESH AGRAWAL - MANAGING DIRECTOR -
AJANTA PHARMA LIMITED
MR. RAJESH AGRAWAL - JOINT MANAGING DIRECTOR
- AJANTA PHARMA LIMITED
MR. ARVIND AGRAWAL – CHIEF FINANCIAL OFFICER -
AJANTA PHARMA LIMITED
Ajanta Pharma Limited
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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Ajanta Pharma Q1 FY 2023 earnings conference call. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference over to Mr. Yogesh Agrawal - Managing Director of Ajanta Pharma Limited.

Thank you and over to you Sir!

Yogesh Agrawal : Thank you. Good evening and welcome to all of you . With me I have Mr. Rajesh Agrawal, our Joint Managing Director and Mr. Arvind Agrawal, our CFO. I am sure all of you have received bonus shares in your accounts. Coming to the results they are already there with you and I am happy to share that the quarter witnessed a strong growth momentum across all our major markets of branded generic business. I will take you through business wise performance for the Q1 along with the comparison of the previous year for the same period. Let us begin with the emerging market branded generic business, which comprises of Asia and Africa. In Asia during the Q1 FY2023 our sales were Rs.240 Crores against Rs. 165 Crores posting a very healthy growth of 45%. Just a caution the growth appears a bit elevated primarily because of the slightly lower base in the Q1 FY2022, which was impacted because of the second wave of the COVID, which created some destruction at that time. Coming to Africa during the Q1, our sales were Rs. 168 Crores against Rs. 125 Crores , again posting a very healthy growth of 34%. Here also similar caveat that like-to-like in the earlier Q1 that was slightly suppressed because of COVID disruption, which makes this current Q1 look a bit more elevated . But overall the branded generic business of Asia and Africa contributed to 43% of the total revenue during the Q1 and our exports in these markets were Rs. 408 Crores against Rs. 291 Crores , posting a very healthy growth of 41% of previous year for the same period. We continue to stay little

sharp in these markets to

identify the gaps and opportunities and we continue to execute very clinically so that we can post superior growth as compared to the markets. During the quarter we launched 10 new products in Asia and Africa across various countries.

Let us move to the US generic business. US business contributed 19% to the total revenue during the Q1. We registered sales of Rs. 179 Crores against Rs. 168 Crores posting a modest growth of 6%. This modest growth of 6% was despite the severe price erosion, which we have seen in the US market and also in absence of any new product launches. We continue to have 39 products on the shelf . During the quarter we filed one ANDA and also received one tentative approval. At the end of June 2022 , we had 20 ANDAs awaiting approval with US FDA. So our filing for the quarter has started on the little slower side, but we have a number of products at the advanced stage of filing . So we will see the accelerated

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Page 3 of 17 filing in coming quarters in Q2, Q3, Q4 and with that we are still aiming to file 10 to 12 ANDAs in the FY2023.

Coming to African institution this business contributed 8% in the total revenue during Q1, we registered sales of Rs. 77 Crores against Rs. 54 Crores posting a growth of 44% over previous year same period. As I have been mentioning earlier , the institution business remains unpredictable , it depends on the funds availability and the requirements of the procuring agencies. So with this now I hand over to Mr. Rajesh Agrawal, our Joint Managing Director. He will take you through India business. Thank you and over to you Rajesh!

Rajesh Agrawal : Thank you very much. Good evening to all of you. Let me discuss some of the key highlights of India business with you now. India business contributed 30% in the total revenue during Q1 FY2023. Sales stood at Rs. 279 Crores as against Rs. 229 Crores posting a healthy growth of 22% during the quarter. This includes sales from trade generic of Rs. 33 Crores against Rs. 27 Crores in previous year same period. We launched seven new products in Q1 FY2023 with two products being first to market. Our first quarter performance has been satisfactory and it has been on the back of new product launches, market share gain and price increase. As per IQVIA MAT June 2022 , we had posted healthy growth in all the therapeutic segments and exceeded industry growth rates across all therapies. We have three of our brands appearing in top 500 in the IPM now. Again as per IQVIA we improved our ranking by 1 position to rank 28 in June 2022 from being 29th ranked in March 2022. We are glad to inform that we have also improved our ranking within therapeutic segments as well by one rank in cardiology and dermatology and by two ranks in the pain management segment over the last quarter. With this I will now hand it over to Mr. Arvind Agrawal, CFO to take you through the financial performance. Thank you and over to you Mr. Arvind!

Arvind Agrawal : Thank you very much. Good evening , to all of you and warm welcome to this earning call. For needs of discussion , we will look at the consolidated financials and provide year-on-year comparison. Let me take you through key financial highlights for the quarter. It was an excellent quarter with 27% growth in revenue across all the market. Total revenue stood at Rs. 951 Crores against Rs. 748 Crores. Again at the guidance , material cost of 25% to 26% , Q1 FY2023 raw material cost was at 29%. The reason for the same are one time inventory

write-off of 2% due to expiry, increase in raw material and pack aging material cost due to global inflation impacting about 1%, US price erosion is about 1%. From the above impact we will be able to recover 1% from the price increase we have taken across market and INR depreciation against US \$. So going forward we

estimate the cost of goods so it to be close

to 26% or in that range.

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Page 4 of 17 Coming to other expenses, we saw significant rise in the export freight cost. Pre-COVID our freight cost has been around 6%, which got escalated to 8% translating to almost Rs. 14 Crores a diverse impact for the quarter. These external factors beyond our control have adversely impacted the profitability to that extent. R&D expenses were at Rs. 54 Crores against Rs. 45 Crores for the quarter. R&D expenses stood at 6% of revenue which will continue to be at this level. EBITDA for the quarter stood at Rs. 222 Crores against Rs. 220 Crores last year. EBITDA was lower in the quarter at 23% mainly due to the above factors mentioned by me earlier. Other income stood at Rs. 33 Crores in Q1 FY2023 mainly contributed by forex gain of Rs. 28 Crores. Income tax stood at 21% for Q1 FY2023 and expected to remain at similar level during FY2023. During the quarter PAT was at Rs. 175 Crores against Rs. 174 Crores, up 1% due to reasons mentioned earlier. PAT for the quarter was at 18%. We incurred capex of Rs. 43 Crores during first quarter of FY2023. Capex including maintenance capex for this year is estimated to be around Rs. 200 Crores. With these highlights I open the floor for the question and answer. Thank you very much.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Tushar M from Motilal Oswal Securities. Please go ahead.

Tushar M : Thanks for the opportunity. Sir on this Africa branded generics, there has been a very robust growth for now past four quarters at least. If you could just elaborate as this has been much higher than the industry growth, so what is driving this and how sustainable is this growth over the next 12 to 18 months?

Yogesh Agrawal : No doubt, we have executed well in Africa, the combination of increasing our market share from the existing product, existing people, launching of new products and successfully taking the market share from there, also expanding of sales force there. The combination of that is in the healthy growth last year and the current quarter also. But as I mentioned in my opening remarks this quarter growth looked a bit more elevated than otherwise would have been because of the low Q1 of the last year. Without that also we would have posted 20% to 25% growth or higher than that. But going forward I think we can expect the growth to remain in the mid-teens is what we are looking to give the guidance.

Tushar M : Number of MRs is it increased in the region? At what level they are now?

Yogesh Agrawal : So, being a proprietary kind of information we are not giving out the region level field size, but in general we have seen the growth of about 8% odd in the field size compared to last year.

Tushar M : If you could just repeat the raw material related one time inventory write off?

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Page 5 of 17 Arvind Agrawal : One time inventory write off had an impact of about 2% on the inventory cost, which is due to basically expiry in the different market. Then we have the raw material and packaging material price increase due to global inflation that is about 1% and US price erosion is 1%. So total about 4% impact is there compared to what we have indicated earlier 25% to 26% indication, which was given earlier, I think there is an increase of about 4% and out of that the one time inventory write off is 2%, so that will not be there and other two, which are there out of that as I mentioned we should be able to recover about 1% from the price increase, which we have taken where we will get the full impact during the year. Also the dollar effect.

Tushar M : Sir, just as a clarification

on already 26% would be the EBITDA margin to look for FY2023?

Arvind Agrawal : Yes, you can say so I think 26% to 27% that is the range.

Tushar M : Got it. Thank you.

Moderator : Thank you. The next question is from the line of Harsh Beria a Professional Investor. Please go ahead. As there is no response, we will move to the next question, which is from the line of Bino Pathiparampil from Incred Capital. Please go ahead.

Bino Pathiparampil : Just a question on the US business, the price erosion how are you looking at it last quarter versus the quarter before that and what is the latest that is what are you seeing right now versus what you saw in last quarter?

Yogesh Agrawal : I think this price erosion happened in the earlier quarter and thereafter it has stabilized. So we have not seen price disruptions in the current quarter, but whatever price erosions occurred in the previous quarter that effect will continue and which is what CFO has mentioned that 1% impact we are seeing in the cost which has got elevated. But for now the price erosion has a kind of tapered down significantly, they are quietened. We are estimating that probably the price erosion should come back to the level of 5% to 8%, which was the normal range also for the price inflation which will happen.

Bino Pathiparampil : Just one more question on the US market, you have this product filing generic version of Chantix, any update on when do you expect the approval for the product and launch?

Yogesh Agrawal : Unfortunately, I do not have the data which I can share with you, we are still working with FDA to seek the approval for that product, so there are some technicalities which are involved. Let us speak when we are at it, we believe that it is a good business opportunity, still I do not have a date which I can share with you that how close we are for the approval on that.

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Page 6 of 17 Bino Pathiparampil : Thank you.

Moderator : Thank you. The next question is from the line of Nimish Mehta from Research Delta Advisors. Please go ahead.

Nimish Mehta : Thanks for taking my question. My question is actually related to filing of another US product Vimovo. Any idea when can we launch because I understand this could also be a different launch and if I am not wrong you can launch upon approval, so any idea about the timeline would be helpful?

Yogesh Agrawal : Yes, for that I can share with you by and large the feedback we have from the FDA that ANDA review is complete for that. We are just waiting for the facility inspection, they have said that the approval can happen after the facility, so now we are waiting for the US FDA to announce when the inspection will happen.

Nimish Mehta : So, it can well be in this year as well?

Yogesh Agrawal : We hope so, I think it is linked with the FDA, now we have seen a number of pre-inspection approval happening in the industry, you must have also seen number of companies are getting the inspection. We have number of a few times written to FDA saying that we are awaiting and we are ready for the inspection. So as they have started with other companies I am sure we must be somewhere on the roster there, so hopefully sooner than later they announce and it is primarily just waiting for the inspection now and once the inspection is approved we are hopeful that we should be able to secure the approval for this product as well.

Nimish Mehta : Trokendi XR which is Topiramate. I understand the FDA will be launching in January next year are we likely to launch soon after that?

Yogesh Agrawal : We have tentative approval on that; I do not have the top of mind the launch date on that, I think maybe our team can circle back on that.

Nimish Mehta : Okay, but do you think it is an interesting opportunity?

Yogesh Agrawal : Yes, of course, I think it is a good product to have. At least we are glad

to have the TA for

that otherwise some other products, they got linked with the facility inspection, I just do not have a date for launch, but we are very close to launching it.

Nimish Mehta : The case is still ongoing right still not settled if I am not wrong?

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Page 7 of 17 Yogesh Agrawal : I don't have the details on the tip of my tongue to give you on that, but the fact is that we have got TA so there is no holding back I think the date and the exclusivity or the patent rights will happen we will take on the approval and probably we will be able to get the product, but having said that I think let me just reconfirm with my team and then we will circle back to you on the details for that.

Nimish Mehta : Okay, so overall with these kind of opportunities can we say that the US generic business can see significant growth in the next two years or so because these are all important and low competition opportunities?

Yogesh Agrawal : Yes, so that has been our outlook traditionally also our current product portfolio, we have been selective in identifying the products which are complex and some other barriers whatever it could be. So we have some good products, unfortunately the approvals were lost, now hopefully the inspection starts, so yes we have some good products, which we have already filed and there are some good products which are at advanced stage of filing during the current year also. So they all can bring good value to the company.

Nimish Mehta : Okay, that is it. Thank you.

Moderator : Thank you. The next question is from the line of Abdulkader Puranwala from Elara Capital.

Please go ahead.

Abdulkader Puranwala : Sir, thank you for the opportunity. Sir, would it be possible to break the India's growth into volume, price and new launches ?

Rajesh Agrawal : We have taken the possible price increase I will share the breakup with you.

Arvind Agrawal : Price increase we have taken is about 7%.

Rajesh Agrawal : That is the contribution to the growth?

Arvind Agrawal : Yes, so 7% is the contribution to the growth there . Out of the total growth 7% is price increase.

Rajesh Agrawal : 6% is the volume growth and the rest of it is 3% new product launch.

Abdulkader Puranwala : For next year FY2023 , what are we targeting in terms of new launches and what are the therapies where these products would be launched or the brands will be launched?

Rajesh Agrawal : For the rest of the coming years ?

Abdulkader Puranwala : Yes Sir.

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Page 8 of 17 Rajesh Agrawal : Mostly antidiabetics and cardiology . That is where the plethora of launches are taking place across the industry because there are multiple new product opportunities including fix dose combinations . So we are also in the race to launch those products, so mostly it will be filtered towards those two segments.

Abdulkader Puranwala : My final question on the US business, so when you mentioned about Chantix and couple of other products, with US with price erosion so if you could provide some colour on how the margin profile looks like ?

Yogesh Agrawal : So, what was the question on the US?

Abdulkader Puranwala : My question was basically if we have to look at the current juncture how would the EBITDA on the US front look as compared to what they were at two to three years ago and if you could also provide some colour on growth on the US front for 2023 and 2024 keeping in mind new product launches would also be in line ?

Yogesh Agrawal : We do not give out region wise EBITDA margins there, but naturally you can very well assume because of the severe price erosion, which last year was 15% to 18% it has adversely impacted the EBITDA margin of the US business . So that is one part and second going forward currently we have some good products which are awaiting approval only for the FDA inspection,

two of them we have already discussed earlier on the call and there are some more products which we have filed . So now it is difficult to predict, but if we get the inspection approval we could be launching some products in Q3, if that inspection gets delayed by a quarter or so it could be in Q4. On the current business, current product we are looking at the flattish kind of growth for the current year even if the growth is there it could be in the low single digit maybe 5% to 6% without the new products . As and when the new products will come it will add to the growth as well as to the EBITDA margin.

Abdulkader Puranwala : Sure Sir, understood. I will get back in the queue. Thank you for answering me.

Moderator : Thank you. The next question is from the line of Rashmi Sancheti from Dolat Capital.

Please go ahead.

Rashmi Sancheti : Thanks for the opportunity. So, just a followup on US business, this quarter we have not launched any product , but any date, oral products, number of launches that we have planned for the next nine months in FY2023?

Yogesh Agrawal : No, as I said I think currently whatever tentative approvals were in advanced stage of review they are all awaiting inspection . We have four products, FDA told that review is complete they are awaiting the approval . So right now we do not have any visibility, so as I guided you, I think we are waiting for the inspection to happen to unlock the new product

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Page 9 of 17 approvals . Without that we are expecting to post 4% to 5% probably 5% growth in that vicinity, as and when the new product gets launched then that will add to growth on the profitability.

Rashmi Sancheti : Okay and basically India business what is the guidance now for FY2023 and FY2025, earlier we used to say that we would be doing around 12% to 15% but considering that this quarter was slightly high growth, what is your guidance on that part?

Rajesh Agrawal : We continue with the original guidance that we have given, which is mid teens for the India business even though Q1 is exceptional growth that you see high double digit growth, but let us not forget that Q1 last year , the base was quite low because of the second deadly wave of delta . So some part of this growth is going to come off as we go along in Q2, Q3, which were quite robust in last year also. So at this point we would rather be a little bit more careful in giving the forecast , so we are expecting mid teens.

Rashmi Sancheti : This is for Asia and Africa branded business also right?

Arvind Agrawal : Yes, you are right.

Rashmi Sancheti : Coming to the EBITDA margin as you said that the raw material cost whatever 300 basis point more which we have seen in this first quarter at least 100 to 150 basis points or something which can come off in the subsequent quarters and considering that Q1 was a low EBITDA margin quarter you still expect in FY2023 we would be around 25% to 26% after assuming that Q4 is normally a very soft quarter for the company?

Arvind Agrawal : You are right, I think Q4 is very soft and I think we should be able to keep the EBITDA at that level.

Rashmi Sancheti : So, basically you are saying that EBITDA margin would be in the range of 25% to 26% for this entire year?

Arvind Agrawal : Should be in that range, yes, some percent here and there is okay, but then that should be the range.

Rashmi Sancheti : Okay and what about FY2024 are we expecting any normalization next year?

Yogesh Agrawal : We will right now focus on the current year, but seeing the unprecedented times if the inflation cools down, as CFO said that in the opening the freight cost has adversely impacted Rs. 14 crores in the quarter. I think if all those comes down then naturally it will get added to the EBITDA and the PAT.

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Page 10 of 17 Rashmi Sancheti : Can you focus on cost efficiency or anything which can lead to at least 100 to 150 basis

point improvement in FY2024 that is what I wanted to understand?

Arvind Agrawal : That is always the focus and that is what we always try to do, the only thing is there are certain external factors which are beyond our control like the freight cost or the inflations, etc., that is where we do not have the control. But otherwise whatever is in our control I think we are 100% sure that we would like to ensure that savings are brought to the business.

Rashmi Sancheti : Thanks, that is it from my side.

Yogesh Agrawal : There was a talk on the Topiramate also, just wanted to highlight, so the matter is still under litigation and we do not have visibility on the launch of Topiramate. Just wanted to share that across it all on the call.

Moderator : Thank you. The next question is from the line of Ayush Mittal from Mittal Analytics. Please go ahead.

Ayush Mittal : Good afternoon, Sir. First of all congratulations on a very good performance. I have missed the trade generics number I am not sure if that was shared in the call today, can you please share that number for the quarter?

Arvind Agrawal : Quarter is Rs. 33 Crores against the previous year same quarter is Rs. 27 Crores.

Ayush Mittal : Sir, can you talk a bit about more about this segment what exactly are we doing in this trade generic and what has been driving the growth and what is the strategy going forward?

Rajesh Agrawal : In trade generics we are doing pretty much exactly the same as what some of the other companies are doing. It is a push strategy that is used where it is being sold by the pharmacies and the differentiator is we are focusing more on the chronic segments in the trade generics. We have been able to grow pretty well in the last three years, we hope to continue the growth in the coming two or three quarters also.

Ayush Mittal : Okay and these products are in-house manufactured or these outsourced?

Rajesh Agrawal : It is a mix of both.

Ayush Mittal : Thank you. That is all from my side.

Moderator : Thank you. The next question is from the line of Kunal Randeria from Edelweiss. Please go ahead.

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Page 11 of 17 Kunal Randeria : Good evening and thanks for giving me this opportunity. Sir, on the Asia and Africa branded business is there any element of channel filling that we have so that there might be some lumpiness in the revenue in the coming quarters?

Yogesh Agrawal : Element of what?

Kunal Randeria : Channel filling, stocking and inventory at the dealer level?

Yogesh Agrawal : No not really. Remaining quarters also we are driving to a mid-teens growth.

Arvind Agrawal : I think what you are really trying to understand is that this higher growth is something which may be because of the channel filling, but it is not so. Actually last quarter as we mentioned earlier also that it was the delta variant quarter where everything came to standstill. So because of that we were very low. If you see our four quarters that was the lowest quarter which was there, afterwards we picked up the numbers in the market, so I think it is absolutely normal.

Kunal Randeria : Got it, Sir. That is helpful. Sir, you also mentioned that you expect the price erosion to sort

of now revert back to historical levels, it is very similar to what Teva also said in their call . So I am just wondering what is it that is changing on the ground have the pharma companies said enough is enough now we cannot sell below certain point or what is changing on the ground?

Yogesh Agrawal : What is changing is, I think the fact that during COVID when approvals are not coming , companies are under pressure to increase the business. So I think they were overstepping in trying to get the market share of each other , competitors very aggressive which is what we saw leading to the price erosion. I think

the industry has understood that this is not helping in fact it is hurting all the companies. I think that kind of awareness and sense that prevailed so we see that undue hyper-competitive activities are kind of normalized and now hopefully with that assumption as that you should come back to the historical level price erosion . And hopefully now the new products approved also has started to reach the companies, we have inspections coming for the number of companies, so that also new approvals will start to come in . So the pressure to increase the business of the existing products will also kind of reduce a little more.

Kunal Randeria : From the annual report I saw that your freight cost has gone up by around 30% annually in the last couple of years . So any other line items you would like to point out maybe some of them which may not be in your control that has been sort of leading to higher opex ?

Arvind Agrawal : I think apart from freight , there is no other element which is there . Normal inflations are definitely there in the cost but not too much . Mainly it is the conscious decision which we

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Page 12 of 17 are taking in terms of enhancing our allocation to the branded generic business , so that is the increase . But otherwise I think it is absolutely normal.

Kunal Randeria : Got it, Sir. Thank you and all the best, Sir.

Moderator : Thank you. The next question is from the line of Ritika Agarwal from Value Quest . Please go ahead.

Ritika Agarwal : Sir, thank you for taking my question . My first question is on what is the cash utilization avenue or deployment that do you think about going ahead?

Arvind Agrawal : It is very simple, the thing which is going on for the last two to three years . We are looking for acquisitions, we are counting for acquisition, we are always looking at all the opportunities which are coming in the market . So certainly that is one area where we can deploy the cash, but other than that I think our major capex is already completed, so there is no need there and there is no other major utilization of cash which is going to be there in the near future.

Ritika Agarwal : Right and acquisition in the domestic front is what you are scouting for?

Arvind Agrawal : Basically, it is only in domestic market that is India market we are looking at for the brand.

Ritika Agarwal : Right and just to confirm you have mentioned your branded market Asia and Africa growth would be around 15% for the next two years .

Arvind Agrawal : Mid teens.

Ritika Agarwal : Sure. That is it from my side . Thank you.

Moderator : Thank you. The next question is from the line of Tushar M from Motilal Oswal Securities . Please go ahead.

Tushar M : Sir, thanks for the opportunity again. Sir, on the domestic formulation side the increase in prices on the NLEM portfolio will that get reflected 2Q onwards or there is inventory still left in the system ?

Rajesh Agrawal : No, I think it has started to reflect in Q1 itself and I remember we discussed this thing a couple of quarters ago and I had mentioned that we will take the full increase . So we have done the same and it has started to reflect by the end of Q1 itself, of course you will see more reflection going forward.

Tushar M : There has been also talk about some price cap any comment on that?

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Page 13 of 17 Rajesh Agrawal : I am only aware of it as much as you have information on media reports that I have also read.

Tushar M : Just one last clarification while you have already explained it, the margins which you have guided for does not include the opportunities like Chantix ?

Yogesh Agrawal : No, they are excluding .

Tushar M : Any query pending for Chantix which we were working on and accordingly the product approval will come?

Yogesh Agrawal : Yes, as I said we are still in dialogue with the FDA

DA on the requirement they have given us which we are furnishing, so it is work in progress.

Tushar M : So, any timeline you would like to give in terms of responding to US FDA?

Yogesh Agrawal : No, unfortunately I do not have, but maybe not a quarter or two I think that is what I have a visibility, but after that how quickly it can come through let us wait and see.

Tushar M : Thank you Sir and all the best.

Moderator : Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja : Good evening, Sir. Sir, my first question is around the Africa piece, if you could delineate the Africa branded business growth between the Franco Africa and the Anglo Africa segments and also give us a flavor of what is the growth in Anglo Africa looking like and what is the salience in sales of Anglo Africa overall?

Yogesh Agrawal : No unfortunately we are not sharing the data for Anglo, Franco, but as you are aware that our bigger presence is in the Franco Africa. But both the markets they are performing well for us Anglo as well as the Franco both are showing positive growth.

Gagan Thareja : Could it also be possible for you to give us some flavor if not quantitative at least directionally of the Asian branded generic markets in the Philippines, Iraq, Jordan and CIS markets separately. Some idea of how you see them evolving for you over the coming two to three years?

Yogesh Agrawal : No, unfortunately I think we are giving this guidance on the continent basis, but again I can repeat the same thing, I think all the markets are performing well. So it is a blended response that only one market is good maybe one may have slightly higher percentage than other, but all the geographies are performing well for us. As I said in my opening remarks

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Page 14 of 17 we are keeping very laser sharp focus in all these markets to identify the opportunities to increase market share, to bring new products, identify the gap, increase the productivity, increase the manpower. It is a constant battle everyday that is what we are seeing in the results, we continue to remain optimistic about posting higher than the industry growth in all these countries.

Gagan Thareja : Is your sales in all of these markets driven by your own salesforce or is there partially a distributed model and partially your own salesforce, if you could give some idea about that?

Yogesh Agrawal : So, that was a good part about all business. All our brand generic business in the exports also they are all driven by us. So we decide the product, we decide the price, we decide the promotion. Distributor just distributes the product for a cost. So we are able to decide our course of growth, so that is where the beauty is.

Gagan Thareja : On tax rate if you could give us some guidance for this year and next year?

Arvind Agrawal : I think this year we have given guidance of about 21% and that is what we should have even in this quarter too it is almost similar percentage. For the next year will be difficult at this point of time, but I think we should see in this range only. It should be around 20% to 21%.

Gagan Thareja : So, one final question, in US FTC is investigating the trade practices of pharmacy benefit managers and the inspection is fairly comprehensive. Do you foresee this sort of changing the US landscape from a pricing perspective in the years to come if the outcomes are adverse for pharmacy benefit managers?

Yogesh Agrawal : It was a complex matter. Unfortunately, I do not have a view on that, but let us see there is a big industry shift which we are talking about it, so how far and the changes are not easy to make the structural changes which are being talked about. So I think it is going to be interesting to see how this evolves and which way it does settle, if any significant changes

happen

happen, so I do not have any view on that.

Gagan Thareja : If in the eventuality that PBM practices are sort of brought more in line with the customer needs because PBMs tend to keep the discounts that they get from innovator companies for themselves without passing it on. Do you see this in anyway helping the cause of generic companies in US?

Yogesh Agrawal : I do not know, from generic point of view I would assume it would be neutral, because ultimately we are competing with other generic companies. So how the channel keeps the margin is a separate matter. So it would probably for a generic company would not have

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Page 15 of 17 such a huge impact. Maybe for a brand company there could be some changes which may occur.

Gagan Thareja : Because some of the litigations which are ongoing in this regard also point out that generic medicine access to certain classes of patients was denied by the PBMs and I think that is the risk what the whistleblower seems to indicate. So I was just wondering if there is any

significant possibility that this might help to bring generic penetration in a bigger way?

Yogesh Agrawal : It is a complex subject I think difficult to discuss that on a n investor call.

Gagan Thareja : Thank you, Sir. That is all from my side.

Moderator : Thank you. The next question is from the line of Alisha Mahawla from Envision Capital.

Please go ahead.

Alisha Mahawla : Good evening. Thank you for taking my question. Sir, firstly, how much percentage of our portfolio is under NLEM?

Arvin d Agrawal : About 12% of the India business .

Alisha Mahawla : Sure and the step up in revenue that we have seen in the Africa business , is this sustainable because this is a kind of quarterly run rate that we can currently work with?

Yogesh Agrawal : As I men tioned earlier we are looking at mid teen growth going forward, for the quarter the growth is slightly higher because of the last year corresponding quarter slightly low due to the COVID disruption , but we are optimistic to outdo the industry that is for sure.

Alisha Mahawla : Just to clarify you are talking about the Africa institutional business doing mid-teens kind of growth ?

Yogesh Agrawal : No, I am talking of Africa branded generic business. The institutional business is very unpredictable . That depends on the fund availability, the requirements of the malaria products in that country, so there are number of facto rs which are beyond our control, and this is a lump y business . So it can go very high and in one quarter it can drop in second quarter , so for institutional business we are not giving out any guidance.

Alisha Mahawla : Understood and just one last clarification, I believe you are mentioning earlier in the call that there are four products for which we were awaiting US FDA inspection, which could be launched in H2 assuming the inspections are on time, is that correct?

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Page 16 of 17 Yogesh Agrawal : Yes, as we are waiting for the approval and inspection and once the inspection happen s whatever time FDA takes to give the approval for the ANDA we will be ready to lau nch the products.

Alisha Mahawla : These four is including Chantix ?

Yogesh Agrawal : Chantix has one more element; Chantix is not linked with FDA inspection that is still in the litigation.

Alisha Mahawla : So, the four is excluded?

Yogesh Agrawal : I am sorry , Topiramate is linked with the inspection, and Chantix is still under approval that is still under review with the FDA that is not linked with the FDA inspection.

Alisha Mahawla : Understood, thank you.

Moderator : Thank you. The next question is from the l ine of Chirag from RatnaTraya Capital . Please go ahead.

Chirag : Good evening Sir. Thank you so much for taking my question. I just have one question on the Africa branded generic business and this is mo

re of a generic question, given that as a n

investor I understand on the branded generic space in Africa is limited . Could you help us with a little more colour on what is going on in this business and currently how are we seeing traction . Generally we have been guided mid teen kind of growth but if you look l ike even at a 10 -year history , growth seems to have happened in a more lumpy manner even in the branded generic space . 2013 was a great year, 2015 was a great year so on and so forth . Could you just help us understand is it sort of field force deployment t hat becomes a little lumpy or this is related to some other sort of a little bit of a cyclical factor. What is it that drives our business could you just talk about it for a little bit more that is all I wanted to ask? Thank you

Yogesh Agrawal : No, if you see our Africa business or for that matter any branded generic business whether it was Asi a or Africa , it has been very consis tent. You will see our track record of five year s, eight years, ten year s, the growth percentages may have varied maybe some years we may have grown at 8%, some may at 18%, some may at 25% . But the re has been a consistent growth, it has been never a lumpy for us that we de -grew 10% and next year we grew 25% and again that is the outcome of very fundamental things . We believe in ident ifying the product, identifying the gap, good product selection , if you see our investor presentation also, we are talking about the smart and beauti ful product portfolio . So that is where it begins and then after that b ringing the product to the li fe, pro moting it well, taking it to the doctor to our own field is what gives us the sustainability and the scalability both . So it is a

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Page 17 of 17 consistent effort of continuously addin g more products every year, working for the product for next year an d next year and the reafter year . So there is a lot of work in progress even in the country, we have a lot of products under approval across all markets as and when we get

the approval in coming years they will be coming to the market . It is a combination of a lot of things, very similar to what we do in India, increase the market share from the existing brands, add more products , add more people . So yes, I think that is fundamental of any branded generic business whether it is India, Africa or Asia.

Chirag : Thank you . That is all from my side.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Yogesh Agrawal for closing comments.

Yogesh Agrawal : Thank you everyone for joining this call. In case there are any further questions that remained unanswered today, please reach to our Investor Relations team. Thank you so much.

Moderator : Thank you. On behalf of Ajanta Pharma that concludes this conference. Thank you for joining us. You may now disconnect your lines .

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Call: Jul 2025

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"Ajanta Pharma Limited Q1 FY -26 Earnings
Conference Call"

July 28, 2025

M
ANAGEMENT : MR. YOGESH AGRAWAL – MANAGING DIRECTOR ,
AJANTA PHARMA LIMITED
MR. RAJESH AGRAWAL –JOINT MANAGING
DIRECTOR , AJANTA PHARMA LIMITED
MR. ARVIND AGRAWAL – CHIEF FINANCIAL OFFICER ,
AJANTA PHARMA LIMITED
MR. RAJEEV AGARWAL – VICE PRESIDENT (FINANCE
& INVESTOR RELATIONS), AJANTA PHARMA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Ajanta Pharma Q1 FY '26 Earnings
Conference Call.

As a reminder, all participants' lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call,
please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being
recorded.

With this, I now hand the conference over to Mr. Yogesh Agrawal – Managing Director of
Ajanta Pharma Limited. Thank you, and over to you, sir.

Yogesh Agrawal: Thank you. Good evening, and welcome to all of you. With me, I have Mr. Rajesh Agrawal –
our Joint Managing Director , Mr. Arvind Agrawal – our CFO , and Mr. Rajeev Ag arwal – our
VP (Finance & Investor Relations).

The results are already with you. We will take you through the business -wise performance for
the Quarter 1 current year, along with the comparison of the previous year same period.
The year commenced on a strong note with revenue from operations growing by 14% and
margins remaining resilient despite higher expenses. We remain committed to sustainable
growth, strengthening every aspect of our business to create long-term value for our
shareholders.

Our financial strength continue d to improve with ROCE at 33% , and return on net worth
reaching 26% at the end of June 2025, reaffirming our position amongst the best in the industry.
Our performance resilience is further demonstrated by the strong cash conversion ratio of 80% ,
and free cash flow to PAT conversion of 82% during the period.

Let's move to the business details. Let me take up the International Business:

I will first start with the Branded Generic business in Asia and Africa, which contributed 41% in the total revenue.

So, let's begin with Asia :

Ajanta's Asia business spans nearly 10 countries across Middle East, Southeast Asia, and Central
Asia. In Q1, the region delivered a sales of Rs. 304 crores, up 10% from Rs. 277 crores in the
previous year. We are pleased to report the launch of 10 new products this quarter, primarily in
chronic therapies, which further strengthens our portfolio in the high potential market. Our
continued investments in both people and product s reflect our strategic intent to scale this

business meaningfully. This expansion reinforces our position for sustained growth in the current year and beyond.

Let's move to Africa:

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In Q1, our sales from Africa business stood at Rs. 228 crores, a slight degrowth of 1% compared to Rs. 230 crores in the same period last year. As previously indicated, the Africa pharma market is expected to see moderate growth in the current year, as also for Ajanta with the impact of high base in the previous year.

Despite these short-term headwinds, we continue to strengthen our presence in the region with the launch of 2 new products, further expanding our chronic therapy portfolio. We remain confident in the long-term growth potential and strategic relevance of our Africa business.

Let us talk about other 2 verticals of International Business now. Let's move to U.S. Generics:

U.S. Generics business contributed 24% in the total revenue during the quarter. As guided, the business performance has been excellent, with Q1 sales at Rs. 310 crores against Rs. 228 crores, posting a very healthy growth of 36%. This growth is attributed to 5 new launches made in the second half of the last year, and 1 new launch in this quarter. We are expecting 2 to 3 more launches for the year. Our superior execution continues to keep us as a preferred partner of choice for our buyers.

Let's now move to Africa Institution:

Africa Institution contribution from the Antimalarial business is just 3% now with a revenue of Rs. 38 crores in

the Q1, against Rs. 42 crores in the previous year, posting a degrowth of 8%.

As highlighted over the years, this business remains unpredictable with its dependence on procurement agencies and we maintain a cautious outlook on the segment.

Now I invite Mr. Rajesh Agrawal – our Joint Managing Director, to take you through India business. Thank you, and over to you.

Rajesh Agrawal: Thank you. Good evening to all of you. FY 2026 indeed has started well for our India business. A few new initiatives taken in the previous year have started showing good signs.

Coming to the performance:

We continued to outpace the IPM, the India Pharmaceutical Market by 29% as per IQVIA MAT June 2025, with Ajanta delivering an impressive growth of 10% compared to IPM's 8% growth. Notably, our volume growth was 73% higher to IPM and new launches exceeded IPM by 46%. This positive trend is evident across most therapeutic segments in which we operate, where our growth has consistently outpaced segment averages. We remain confident of sustaining this momentum in the coming years.

In Q1 FY 2026, India business contributed 32% to the Company's total revenue, supported by the launch of 8 new products, including 1 first time in the country.

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During the quarter, sales stood at Rs. 409 crores compared to Rs. 353 crores in the same quarter of the previous year, registering a healthy growth of 16%. Our India business also includes revenue from the trade generic segment which contributed Rs. 39 crores in Q1 against Rs. 41 crores.

In the covered market, we are fifth largest in the IPM and among top 10 in our therapeutic segments, as per IQVIA MAT June 2025. Cardiology contributed 37%, Ophthalmology 30%, Dermatology 23%, with remaining 10% coming from Pain in the branded sales. The new therapies of gynecology and nephrology are taking good shape and are expected to contribute meaningfully in the coming years.

I now invite Arvind Agrawal – CFO, to take you through the Financial Performance. Thank you, and over to you, Arvindji. Thank you.

Arvind Agrawal: Thank you, and good evening to all.

On this call, our discussion includes certain forward-looking statements, which are projections or estimates about future events. These estimates reflect Management's current expectations about future performance of the Company. These estimates involve number of risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Ajanta does not undertake any obligation to publicly update any forward-looking statements, whether because of new confirmation, future events or otherwise.

We will look at the consolidated financials and provide year-on-year comparisons. The key financial highlights for Q1 FY 2026 are as follows:

Total revenue in Q1 stood at Rs. 1,303 crores against Rs. 1,145 crores, posting a healthy growth of 14%, which was in line with our guidance.

Our gross margin stood at 79% in Q1, an improvement of 200 basis points over previous year. Improvement in margin was the result of better product mix and favorable API prices. Full year FY '26 margin is expected to be around 78% plus/minus 1%.

Personnel cost was at Rs. 303 crores against Rs. 284 crores, an increase of 7% over previous year.

Our R&D spend was at 4% of total revenue and is expected to move to 5% for full year. Lower expenses was due to nonfiling of ANDA during the quarter. In Q1, expenses were Rs. 56 crores against Rs. 51 crores.

Other expenses in Q1 stood at Rs. 373 crores against Rs. 263 crores, an increase of 42% from previous year. The expenses were higher due to our trust on the Branded Generic business, where we are consistently investing in products and people, which will keep other expenses elevated in the FY '26 in mid-teen range. The expenses also includes mark -to-market hedge loss of Rs. 25 crores in

Q1 FY 2026.

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Our EBITDA margin stood at 27% for Q1 against 29% in previous year. EBITDA stood at Rs. 351 crores against Rs. 330 crores, a growth of 6% in Q1 FY '26. Higher personnel costs for MR additions and selling expenses for addition of new therapies and divisions in H2 of FY 2025, will keep EBITDA to be around the FY '25 range in FY '26.

In Q1, our PAT margin stood at 20%. PAT was Rs. 255 crores against Rs. 246 crores, a growth of 4%.

Mark -to-market FOREX loss stood at Rs. 25 crores. Excluding the impact of FOREX loss, EBITDA stood at Rs. 376 crores, reflecting a 14% growth with an EBITDA margin of 29%, which is equal to last year. PAT grew by 12% with a PAT margin of 21% if we remove the mark -to-market FOREX loss.

Other income was at Rs. 26 crores in Q1, which includes FOREX gain of Rs. 9 crores in Q1 FY 2026. Income tax stood at 23% for Q1 and is expected to remain in the range in the FY '2026. We incurred CapEx of Rs. 72 crores during the quarter and is in line with our guidance of Rs. 300 crores for this year.

Our cash flow from operations stood at Rs. 282 crores for the quarter, with cash conversion ratio of 80%. Free cash flow generated was Rs. 209 crores with 82% PAT conversion. This reflects our efficient cash flow management.

ROCE and RONW continue to improve and be comparable to the best in the industry. ROCE stands at 33% and RONW at 26% at the end of June 2025.

With these highlights, I open the floor for the question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question comes from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: Yes. Good evening team, thank you for giving me the opportunity. Sir, I have a couple of questions. First on the R&D side, like your R&D spend has risen Rs. 56 crores in the quarter.

So, could you highlight the key strategic area you are prioritizing in R&D and when we can expect meaningful revenue impact from this investment?

Yogesh Agrawal: When can we expect meaningful what?

Rehan Saiyyed: Revenue, revenue, sir.

Arvind Agrawal: Revenue from maybe therapy focus in the R&D and is there anything which we will get from that?

Yogesh Agrawal: No. So, R&D, as you would see, the expenses have been very much in control for the current quarter. In fact, it has slightly dipped only. It became 4% of the revenue as compared to the 5% for the previous year.

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The focus for the R&D remains in the same therapeutic segments where we are present in India and emerging markets and also for the U.S. And continuously, we have been giving in our investor presentation also, the number of new product launches, which we are making in India and other markets. In my opening comments also I have mentioned.

So, all these are outcome of our R&D only. It's a long cycle from the time we take the development of the product, then it goes for the manufacturing, generating the data, then filing with the regulatory agencies for the approval and then launches. So, all the growth which we have seen, every quarter, we have been giving the growth from the new product which is coming in. That is the result of our R&D only. So, already the meaningful results have been seen for the last 2 decades from the R&D output.

Rehan Saiyyed: Fair enough. And second, on the working capital side, sir, working capital efficiency has improved steadily in recent years like quarter -on-quarter, so do you believe there is still scope

for...

Arvind Agrawal: No, I think we have reached quite peak. From here, we don't expect any further achievement or efficiency in the working capital cycle.

Rehan Saiyyed: And sir, the last question on the CapEx side, could you just guide on the CapEx on this quarter and

going forward FY '26?

Arvind Agrawal: See, for the CapEx, this quarter, we have spent about Rs. 72 crores, and for the whole year, we have given a guidance of about Rs. 300 crores. The normal CapEx, which is the maintenance CapEx is something in the range of Rs. 150 crores to Rs. 200 crores. And balance is something which we are expanding the capacities in some one or the other plants. Like, for example, now the liquid plant is getting ready in Pithampur facility. So, those kind of additions keep on coming.

But otherwise, Rs. 150 crores to Rs. 200 crores is normal maintenance CapEx and balance it will not be more than this. It will be in this range only.

Rehan Saiyyed: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Tushar from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on gross margin, like sequentially, the proportion of the segmental mix has been largely stable or even on a year-on-year basis. So, if you could just help explain the improvement in the gross margin for this quarter compared to fourth quarter? That's my first question.

Arvind Agrawal: Okay. So, I think I have mentioned it already, and I will repeat the same thing, that the product mix, of course, the revenue mix which you are talking about, the Branded Generics and U.S.

Generic s that is something which has changed this time. B ut there is definitely an improvement in terms of the products which are giving the higher margin as compared to the normal margin.

So, that is something which is definitely there.

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And another aspect in this particular quarter is that we do the provisioning for the returns and the expiries. Now that is something which this quarter, I got a one -off here. So, that has added me almost about 1% the improvement in the gross margin.

Tushar Manudhane: Understood. So, that might be a non-recurring. So, that was...

Arvind Agrawal: Absolutely. That's why we have mentioned that it will be about 78%.

Tushar Manudhane : Okay, sir. Sir, on the U.S. business side, while the full year, we have guided for 10 to 12 ANDAs, but we have not filed yet in Quarter 1 FY '26. So, any color you would like to throw on that. Any revision in number?

Yogesh Agrawal: No, no. We are very much on track to deliver in that range. We are very confident of filing 10, the product which are manufactured bios are underway or have completed. So, we are very, very confident of filing around 10 ANDAs plus, minus 1 or 2.

Tushar Manudhane: Okay, sir. And lastly, if you could let us know how many MRs we have increased in Asia region compared to last year?

Yogesh Agrawal: As you know, we don't give the region-wise breakup of the increase. But in the emerging markets, for the current quarter, we have added only 40 MR. But for the rest of the year, we are looking to add another 210. So, for the whole year, our strength increase will be about 250 people

in the emerging markets. So, from 2,000, it will become 2,250, about 10% increase will happen during the whole year.

Tushar Manudhane: 2,000, sorry, total, I missed the number?

Yogesh Agrawal: Last year was 2,000. In the current quarter, the increase is 40 for the entire emerging market s.

And rest of the year, we are expecting another 210 to get added. So, for the whole year, we are expecting 250 new headcounts to be added, the field size for the emerging markets.

Tushar Manudhane: Okay. And just lastly on cardiology as a therapy for us has been little soft for some time now compared to IPM. So, if you could just elaborate on corrective measures or how to look at it in terms of growth over coming near to medium term?

Arvind Agrawal: I think it is a small way of competition, which is increasing, but I think we already started working on it, and we should be able to certainly come back to our normal IPM grow

th. So, we

will come back on that. It's just that it is a time lag, maybe in another 2, 3 quarters, you will start seeing the improvement.

Tushar Manudhane: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Vishal from Systematix Group. Please go ahead.

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Vishal Manchanda: Good evening, everyone, and thanks for the opportunity. With respect to the U.S. number this quarter, so can we expect this run rate in the upcoming quarters, the run rate to remain at current levels or it can further ramp up from here?

Yogesh Agrawal: No, the run rate should sustain at the current level going forward.

Vishal Manchanda: Are there any limited period exclusivities that we are running here?

Yogesh Agrawal: We have some products which are limited competition products, and we believe that the visibility which we have, they should remain like that for the whole current year. We don't expect any addition in that limited competition products. So, we feel comfortable giving the guidance that the current run rate should continue for the rest of the 3 quarters.

Vishal Manchanda: Okay. And on the oral liquid plant that we are investing in, is that for the U.S. market?

Yogesh Agrawal: No, it is for the emerging markets, ROW. So, we have one of the oldest facilities we have, very small capacity, which now we are expanding, Pithampur we have put a brand-new facility, which is also global standard. So, that is primarily to cater to our emerging markets.

Vishal Manchanda: Okay. So, are we investing anything for the U.S. market in terms of manufacturing capacities?

Yogesh Agrawal: No. Because the existing plants, which are there, they are only taking care of the requirements.

Vishal Manchanda: Okay. And one question with respect to India. Like just wanted to understand, we do not have very large brands in our portfolio. Any thoughts on that?

Arvind Agrawal: I think we have 2 large good brands. Met XL is a very large brand. If you take the full family of Met XL, it is exceeding about Rs. 250 crores. So, that's Rs. 300 crores. Wherein Cinod range which is about Rs. 120 crores; Atorfit is touching Rs. 100 crores; Feburic, there are quite a few good brands, which are touching about Rs. 100 crores.

Vishal Manchanda: Got it. Thank you. That's all from me.

Arvind Agrawal: Thank you.

Moderator: The next question comes from the line of Bino from Elara Capital. Please go ahead.

Bino Pathiparampil: Good evening. Question on the Africa branded business. In rupee terms, it looks flat year-over-year. But I believe that your billing for Africa-branded business happens in euro terms and euro has appreciated by about 10% Y-o-Y over rupee. So, in euro terms, the business is down roughly 10% Y-o-Y. Is that the right way to look at it?

Yogesh Agrawal: The benefit for the rupee depreciation against the euro, that is what we have pointed, the Rs. 25 crores FOREX loss, which we have incurred in the quarter, where we have seen a sharp increase.

That was in a 1 month only, I think pretty much the rupee has depreciated against the euro. So,

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there has been very less impact of the rupee depreciation against the euro in the current quarter.

So, the FOREX loss mark-to-market Rs. 25 crores has come because of that only. So, right now,

I think there is no impact of the rupee depreciation of euro in this current quarter.

Bino Pathiparampil: So, the business is in local currency or whatever currency it is. It is roughly flat Y-o-Y?

Yogesh Agrawal: Correct. That's right. That's right.

Bino Pathiparampil: Got it. Thank you.

Moderator: The next question comes from the line of Rashmi from Dolat Capital. Please go ahead.

Rashmi Sancheti: Thanks for the opportunity. One question on India. Your new launch contribution is

also going

up compared to the IPM. So, when you are doing new launches around 7 to 8 products, you were

targeting which therapies? Which therapies have you launched these particular products?

Rajesh Agrawal: If I may answer. Yes, that's correct. These are across all therapies. And wherever we find the opportunities, that is where the launches take place. So, few may be in cardiovascular, few are in gynecology, some in Pain and Ophthalmology also.

Rashmi Sancheti: And the subsequent quarter, that is second and third quarter generally, it's very good for the domestic business, and we have already reported 15.9% during this quarter. So, what is the guidance on the India business? Is it something that we would be in mid-teens growth for India business this year in FY '26?

Rajesh Agrawal: No. So, 2 things. One is the Quarter 2 for us has not significantly been higher, because our product portfolio is not an antibiotic or a seasonal dependent product portfolio. It's almost the same across all quarters. And secondly, if you look at the growth forecast, we would like to still maintain our original growth forecast, which is growing at 20%, 25% higher than the India growth rate, IPM growth rate. So, essentially, if the IPM is growing at 8%, then we are aiming in our aspiration to grow at 10% and above.

Rashmi Sancheti: Understood. Got it. And related to your Africa branded business, this year, you are expecting that there will be a moderate industry growth, but we are also doing lot of new launches. And earlier also, we have invested into the people so that would also bring some MR productivity. So, is this a one-off quarter and from the subsequent quarters, at least, we would be able to see some single-digit growth...

Yogesh Agrawal: So, last year, we have posted a very robust growth in the Africa market. We posted growth of around 28%, which was very robust, it's 2x of the normal growth, which we posted. Normally,

we have seen growth of 13%, 14%. Against that, we posted 28% growth. And beginning of the year itself, we had guided that considering a very high base, which has got created last year. The current year, we would have the growth of the mid-single -digit.

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So, we still are confident of delivering the same number for the whole year, though the 1st Quarter has been the flattish number. But overall, for the whole year, we feel comfortable that we should be able to achieve the mid - to high single -digit growth for the full year.

Rashmi Sancheti: Understood. And coming to Asia branded, we would be again that 11% to 15% sort of growth?

Yogesh Agrawal: Correct. We have guided for the mid -teens, and I think we feel we should be able to achieve that kind of number for the whole year for Asia .

Rashmi Sancheti: And on operating margin front, if you remove the FOREX, this quarter, we have done around 28.9% and you have said that FY '26 EBITDA margin should be equal to FY '25. And whereas in last quarter, you mentioned that EBITDA margin guidance would be 28% (+/-1%) . So, just need a little clarification. We would be improving on the gross margin. I understand that other expenses in R&D will be higher. But are we on track to achieve at least around 28% this year?

Arvind Agrawal: I think we will be comfortable at 27% (+/-1%). So, you can always say, okay, it can be 28%, 26% also. So, 27% (+/-1%) is something which we will be more comfortable.

Rashmi Sancheti: Okay. And this is mainly because of the increase in other expenses, what is the outlook in FY '27? Because most of the expenses will be done this year. So, can we expect expansion in FY '27?

Arvind Agrawal: Yes. Certainly, certainly.

Rashmi Sancheti: Okay. All right. Thank you. That's it from my side.

Arvind Agrawal: Thank you.

Moderator: Thank you. The next question comes from the line of Abdulkader from ICICI Securities. Please go

ahead.

Abdulkader Puranwala : Hi sir. Sir, thank you for the opportunity. Just first quickly on your Asia business. So, would you like to highlight why is that growth being slipped down to, say, mid-single digit, I understand you have been guiding for this, but considering the geographies we are into, shouldn't we be growing at a slightly faster pace as compared to what we are growing now?

Yogesh Agrawal: As I said, I think we have given the guidance of mid-teens. And we feel that we are on course to achieve for the full year. For the export business, you have to keep in mind, I think the quarter - to-quarter numbers may not be the exact reflection. Sometimes the sales get preponed, sometimes get postponed, so inventory. Full year will be the right way to look at the export business. So, 10% in the current quarter, we have delivered the Asia growth. But for the whole year, we feel comfortable that we will be in the range of mid -teens growth for the Asia.

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Abdulkader Puranwala : Understood sir. And sir, second on the trade generic business. So, if we look at the segment, I think it's growing slightly faster than our core branded generic business. So, going ahead, how should we look at this business? What are your growth and investment plans here?

Arvind Agrawal: I think this quarter, we are almost flattish or almost degrowth by minus 6%. So, it is not something which is very large. I think for the whole year, we are expecting it to be around 10% growth.

Abdulkader Puranwala: Understood sir. Thank you.

Moderator: Thank you. The next question comes from the line of Jitesh, an individual investor. As there is no response from the participants .

Yogesh Agrawal: If there are no more questions, I think we can then close the call.

Moderator: Ladies and gentlemen, as there are no further questions, we can take this as a last question. I would now like to hand the conference over to Mr. Yogesh Agrawal for closing comments.

Yogesh Agrawal: Yes. Are there any further people ? Anyone wants to have any questions ? Are there any calls if there is I will be happy to take that. If not, then I will give my closing comments. So, I guess there are no more callers. So, thank you very much, everyone , for joining this call.

Moderator: Sir, sorry to interrupt. There is one question. There's one participant.

Yogesh Agrawal: Okay. Sure.

Arvind Agrawal: We can take that question, yes.

Moderator: So, the next question comes from the line of Yogesh from InCred Equity. Please go ahead.

Yogesh : Thank you sir for the opportunity. My first question is I wanted to understand our progress on the new therapies, which we have added, gynec and nephrology. How are we seeing the growth that it is in line with what we had anticipated?

And second, on the MR addition front within the India business for the new therapies. Last year, we added around 200 MRs in

these 2 therapies, whether we are looking to add further more?

Arvind Agrawal: Sir, you would like to reply? Yes. So, as far as the India business is concerned for the new therapy, I think we will be able to comment on these therapies only after 1 year, because it's just less than 1 year that we have launched these therapies. So, I think it will be good if we review them or look at their performance by this year -end.

In terms of the MRs, we have added about 70 people in this quarter for India business, and we are expecting another similar number to be added in the rest of the year. So, hopefully, about 150 people will get added in this current year.

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Yogesh: Thank you sir. That answers my question. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Amit Kadam from Canara Mutual Funds. Please go ahead.

Amit Kadam: Hi, sir. Sir, somewhere in the middle of the call, you mentione

d about some comments on the cardiac division, that about why our growth rate is lower than the IPM. I think you referred to some pricing related thing. Can you just elaborate on that particular part, why the division growth was lower than IPM? That's it. Thanks.

Arvind Agrawal: Cardiac, we have said that our performance has been a little lower than IPM, but we are working on it. And hopefully, in the coming quarters, you will see the improvement coming in. It may take 3, 4 quarters more for correcting that particular situation, but we are quite confident that we should be able to come back to the IPM growth.

Amit Kadam: Any specific category of products or any prices in the market, which led to that or something?

Arvind Agrawal: Not anything specific. It is just the competitive intensity, which keeps on happening, and it is cyclical thing which happens, like what you must have seen in the past also, there are some divisions or some therapies, which have not worked well, but has now been picked up very, very well. So, I think same is the case with cardio as well. So, hopefully, it should also come back.

Amit Kadam: And according to you, it will take more than 2 odd quarters, 2 to 4 quarters is what you have assumed, that means this would resume or maybe start beating the IPM, maybe in FY...

Arvind Agrawal: Yes, I think we should be able to match IPM in over a period of 2 to 3 quarters.

Rajesh Agrawal: Basically, it is (Inaudible) 0:36:38 and we hope to reverse it soon.

Amit Kadam: Okay. So, it's a volume underperformance. It's nothing to do material with the price part or is it...

Rajesh Agrawal: Correct. There has nothing to do with the price point. Our price remains an optimum pricing. It is mostly the volume and some market share loss in some of the brands.

Amit Kadam: Okay. Correct. Thank you.

Moderator: Thank you. The next question comes from the line of Aman Kumar Singh, an individual shareholder. Please go ahead.

Aman Kumar Singh : Good evening, everyone. This question is regarding our profit after tax has increased just by 4% , but top line, et cetera, we have done pretty well. So, what was the main reason behind it, please?

Arvind Agrawal: As we mentioned, you see the other expenses has been the real growth, which is there , and FOREX loss of Rs. 25 crores, which is the major effect. If you remove the Rs. 25 crore loss, the

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growth is almost 14%. So, it is just the FOREX loss, which is the major contributor to that particular growth of 4%.

Aman Kumar Singh : So, is it a one -time loss, what we are expecting, or it can be a concurrent loss, which...

Arvind Agrawal: It is one -time loss actually because it is a sudden movement in euro from 93 to 100, which has really caused this particular loss. Hopefully, now euro should not go beyond this level. And because of that, it will be a one-time loss only.

Aman Kumar Singh: Okay. Thank you.

Arvind Agrawal: Thank you very much.

Moderator: Thank you. The next question comes from the line of Tushar from Motilal Oswal. Please go ahead.

Tushar Manudhane: So, just one more follow -up on U.S. your outlook for U.S. is largely driven by existing launch products? Or do we have new approvals per se, which will drive growth for FY '26 and subsequently for FY '27?

Yogesh Agrawal: So, the U.S., we have launched 5 new products in the last year, second half. And in the 1st Quarter , we launched 1 product. And during the year, all going well, we hope to launch 3 more products. So, the last year, we have seen some part of the 5 launches, which we have done in the second half, some sales have come in. But actually, the full sale of the 5 new products which we launched has started to come from this quarter. So, that is where you have seen.

And also, there have been some increase in the market share in our existing product portfolio

also. There's

a combination of the new launches last second half, which has blossomed the full year in the current quarter, some increase in the market share on the existing products as well.

Tushar Manudhane: So, this market share gain is on the back of some competitor moving out of that product or between different pricing?

Yogesh Agrawal: No, no. Some competitors have moved out from the product.

Tushar Manudhane: And sorry, if I may drag that, but is it to do with their regulatory issue or more so just purely from the competition and probably they are not into the market for that product?

Yogesh Agrawal: Very difficult to say. We don't have much visibility on what would be the reason which would be there. So, it could be capacity, it could be regulatory. It could be anything, very difficult to comment on that.

Tushar Manudhane: Fair enough, sir. Thanks a lot.

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Moderator: Thank you. The next follow-up question comes from the line of Yogesh from InCred Equity. Please go ahead.

Yogesh : Thanks once again for the opportunity. My question is on the Africa branded business, though this year we are seeing some moderation, what collective measures or steps are we taking to resume faster growth in next year?

Yogesh Agrawal: So, actually, I will just 1 second roll back. As I said last year, our growth was 28%, which is 2x of our growth of 14%, which we normally do. So, if you take last year's growth of 28%, and this year, we have guided high single digit. If you take a blended 2- year growth, it will still be in excess of 16%, 17% growth. So, actually, there is no such correction which is required. We are doing just fine.

Just last year, the base was built up a bit high. That's why we are seeing a slower growth in the current year. But all the fundamentals are well in place to deliver the sustained growth, there is no such issue which we are facing or correction, which is required. I think we should be able to be comfortable. And current year, as earlier said, high single -digit growth. Next year, again, we should bounce back to the double -digit growth, because the last year base effect should get normalized in the current year.

Yogesh : Understood, sir. And one more question on the India business. If you could bifurcate India growth into value volume and new launches?

Arvind Agrawal: So, in terms of the volume, it was 2.5% against the IPM growth of 1.5%. In terms of new launches, we have done against 2.3% of the IPM, we have grown by 3.3%. And the price increase was 4.2% for IPM, whereas it was 4.4% for us. So, practically, we are ahead of the IPM almost in every aspect, from 8% of IPM, we are at 10.3%.

Yogesh : Understood, sir. Thank you for the clarification.

Moderator: Thank you. The next question comes from the line of Dikshant Gupta from Geojit PMS. Please go ahead.

Dikshant Gupta : Good evening, sir. So, my question was, what exactly was the rationale behind entering the 2 new segments of nephrology and gynec?

Arvind Agrawal: I think we spoke about it in the last call in Q4. I will just repeat that, see Nephrology was a natural extension for us, because we were covering nephrology through our Pain Management segment. So, that was a very natural extension for us. And gynecology is something which is growing quite well. And we felt that we will be able to add value there by giving lot of good products to the market. So, that is where the consideration was. And both these segments are something which we will watch for in the next 5 years.

Dikshant Gupta: Okay, sir. Thank you. That was my only question.

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Moderator: Thank you. The next question comes from the line of Nirali Shah from Ashika Stock Services Limited. Please go ahead.

Nirali Shah : Hi, I have one question. With 80% EBITDA to CFO conversion and 82% FCF to PAT, how are you thinking

about capital deployment over the next 12 to 18 months? And would you prioritize scale up in India or Asia versus U.S.? Or is any inorganic play being explored?

Yogesh Agrawal: So, generally, there's no requirement of prioritization in one geography or other. There are all kind of resources that are independent on each of the geographies, and they perform independently. There is no constraint on the resources for each of the geographies. So, there is no prioritization as such.

In terms of capital allocation, we will see how to go about it, still the year is there. So, Board

will make a suitable decision on what will the payout for the current year and what kind of reserves we build for acquisition for the coming year, if any. So, we will see.

And in terms of inorganic growth, yes, we have been active on the lookout for finding the right asset and the right opportunity, but these are some things which we cannot force to make it happen. We will see what are the possibilities which are there, and if there is anything which we can do on that front also. But we are actively pursuing that avenue as well.

Nirali Shah : Understood. Any specific geography that you are looking for in organic? I am asking this to understand what kind of valuations are available, say for example, in India or probably any other geographies, so what would be our focus geography?

Yogesh Agrawal: Our geography focus remains first, primarily India for the acquisition; and second is Asia and Africa. So, these are the primarily Branded Generic business, whether it is in India, if India, we would love to do acquisition in India, which would have a synergy with us. Second is Asia and Africa also, we will be very open to doing that. So, these are the 3 areas where we are actively looking.

Nirali Shah: Understood. Thanks.

Moderator: Thank you.

Yogesh Agrawal: Okay. It seems there are no more questions. So, thank you, everyone, for joining this call. If there are any further questions, please reach out to our Investor Relations team. They will do their best to answer it. Thank you, everyone, for joining the call.

Moderator: Thank you. On behalf of Ajanta Pharma, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

"Ajanta Pharma Limited Q2 FY'2026 Earnings Conference Call"

November 03 , 2025

MANAGEMENT : MR. YOGESH AGRAWAL – MANAGING DIRECTOR ,
AJANTA PHARMA LIMITED
MR. RAJESH AGRAWAL – JOINT MANAGING DIRECTOR ,
AJANTA PHARMA LIMITED
MR. ARVIND AGRAWAL – CHIEF FINANCIAL OFFICER ,
AJANTA PHARMA LIMITED
MR. RAJEEV AGARWAL – VICE PRESIDENT , FINANCE &
INVESTOR RELATIONS , AJANTA PHARMA LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Ajanta Pharma Q2 FY 2026 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Agrawal – Managing Director of Ajanta Pharma Ltd.

Thank you and over to you sir.

Yogesh Agrawal: Thank you. Good afternoon and welcome to all of you. With me, I have Mr. Rajesh Agrawal – our Joint Managing Director, Mr. Arvind Agrawal – our CFO and Mr. Rajeev Agarwal – our VP , Finance and Investor Relations.

I hope the Results are already with you.

I am pleased to inform you that the Board of Directors have approved the first interim dividend of Rs. 28 per share for the face value of Rs. 2 per share, total ling to Rs. 350 crores.

We will now take you through business -wise performance for our current quarter and half year along with the comparison of previous year for the same period:

We have completed 2nd Quarter and first half of the current year on a strong note, with revenue from operations growing by 14% and margins remaining resilient despite higher expenses. We remain confident to continue this growth journey with all our business shaping up as planned. This is also reflected in our financial strength which continue to be strong with return on capital employed at 33% and return on networth reaching 25% as at end of September 2025, reaffirming our position amongst the best in the industry.

Let me now take you to the business details:

Let me first take up the International business . I will first start with the branded generic business in Asia and Africa which contributed 40% to the total revenue. Our continued investment in both people and products in these regions reflect our strategic intent to scale this business meaningfully. This expansion reinforces our position for sustained growth in current year and beyond.

Let us now first see Asia :

Ajanta's Asia business remains focused on Middle East, South -East Asia and Central Asia. In current quarter, the region delivered sales of Rs. 310 crores, up 5% from Rs. 296 crores, and in half year, the sales stood at Rs. 614 crores, up 7% from Rs. 572 crores of previous year. Few orders got pushed to

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the second half of the year, thus affected the growth in the first half of the year. We are confident to achieve low teens growth for the current year.

We are pleased to report the launch of three new products during the quarter, taking the total tally to

13 in the first half of the year. The new launches were mostly in chronic therapies which further strengthened our position in the high potential market.

Let us move to Africa :

Our Africa business is focused on West and East Africa. In current quarter, sales stood at Rs. 221 crores, a growth of 4% compared to Rs. 213 crores, and in the first half of the year, sales were at Rs. 449 crores, a growth of 1% compared to Rs. 443 crores in the same period last year. Africa pharma market is expected to see moderated growth in the current year, as also for Ajanta with impact of high base of previous year. However, against our guidance of mid -single -digit growth, we are now confident to achieve double -digit growth for the entire year.

Despite these short -term headwinds, we continue to strengthen our presence in the region with launch of four new products during the quarter, taking the total tally to six in the first half of the year. We remain confident in the long -term growth potential and strategic relevance of our Africa business.

Let us talk about our other two ve

riticals of the international business now:

US Generic business contributed 26% in total revenue in the quarter. As guided, the business performance has been excellent with current quarter sales at Rs. 344 crore s against Rs. 232 crore s, posting an excellent growth of 48% , and in the first half of the year, sales stood at Rs. 653 crore s against Rs. 460 crore s, posting a growth of 42%. This growth is attributed to full benefit of five launches made in the second half of the previous year, three new launches in the first half of the current year, and gain in market share in few existing products. We remain as a preferred partner of choice for the distributors and customers due to our superior and committed execution.

Let us now see Africa Institution Business:

The contribution from anti -malarial business further went down to 2% from 3% in previous year , with a revenue of Rs. 32 crores in the current quarter and Rs. 71 crore s in the first half, it is a degrowth of 17% for the half year. As we have mentioned earlier, this business remained unpredictable as it is dependent on the procurement by aid agencies, and we maintain a cautious outlook on this business segment.

Now , I invite Mr. Rajesh Agrawal – our Joint Managing Director . Thank you and over to you.

Rajesh Agrawal : Thank you and good afternoon to all of you.

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I will now take you through the India business performance:

We have completed current quarter and half year on a strong note for our India business. We are already seeing the positive signs from our new initiatives taken in the previous year, which has also contributed to the growth in current year.

Coming to the performance:

We continue to outpace the Indian pharmaceutical market by 32% as per IQVIA MA T September 2025, with Ajanta delivering an impressive growth of 10% compared to IPM's 8%. We continue to exceed volume growth by 2 x to IPM and new launches by 39%. This positive trend is evident across most therapeutic segments in which we operate, where our growth has consistently outpaced segment growth. We remain confident of sustaining this momentum in the coming year.

In current year, India business contributed 32% to the company's total revenue, supported by the launch of 10 new products, including one first time in the country.

During current quarter, sales stood at Rs. 432 crores compared to Rs. 386 crores in the same quarter of the previous year, registering a growth of 12%. In first half of year, sales stood at Rs. 841 crores compared to Rs. 739 crores in previous year, registering a healthy growth of 14%

Our India business also includes revenue from trade generic segment, which contributed Rs. 53 crores in Q2 against Rs. 46 crores, a growth of 14% , and in first half, Rs. 92 crores against Rs. 87 crores, a growth of 5%.

In the covered market, we are fifth largest in IPM and amongst top -10 in all our therapeutic segments as per IQ VIA MAT September 2025.

Cardiology contributed 37%, followed by ophthalmology 30%, dermatology 23% and remaining 10% coming from pain in India branded sales.

The new therapies of gynecology and nephrology are taking good shape and are expected to contribute meaningfully to the revenue in the coming years.

I now invite Arvind Agrawal – CFO to take you through the financial performance . Thank you and over to you , Arvind.

Arvind Agrawal: Thank you and good afternoon to all. On this call, our discussion includes certain forward -looking statements, which are projections or estimates about future events. These estimates reflect management's current expectations about future performance of the company. These estimates involve number of risks and uncertainties that would cause our actual results to differ materially from

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what is expressed or implied. Ajanta does not undertake any obligation to publ

ically update any

forward-looking statement, whether because of new confirmation, future events or otherwise.

We will look at the consolidated financial and provide year-on-year comparisons.

The key financial highlights for 2nd Quarter and first half of current year are as follows :

Total revenue in 2nd Quarter stood at Rs. 1,354 crores against Rs. 1,187 crores , and in half year, revenue stood at Rs. 2,656 crores against Rs. 2,332 crores, posting healthy growth of 14% in both current quarter and first half of the year.

Our gross margin stood at 77% for the quarter and 78% for half year. Full year 2026 margin is expected to be around 78% plus /minus 1%.

Personnel cost was at Rs. 317 crores against Rs. 261 crores, an increase of 21% in the quarter and Rs. 620 crores against Rs. 545 crores, an increase of 14% in first half over the previous year. Higher increase is mainly on MR addition in second half of the previous year.

Other expenses for the current quarter stood at Rs. 392 crores compared to Rs. 353 crores in the corresponding quarter of the previous year, reflecting an increase of 11%. For the first half of the current financial year, other expenses were Rs. 765 crores against Rs. 616 crores in the same period last year, an increase of 24%. We continue to make strategic investment in our products and people across our branded generic portfolio and we expect our other expenses to remain in line with the trend seen in the first half of the year.

Our R&D spend which is part of personnel and other expenses was at 5% of total revenue and is expected to be at similar levels. In current quarter, expenses were at Rs. 63 crores against Rs. 57 crores , and in half year expenses were Rs. 119 crores against Rs. 108 crores.

EBITDA for the current quarter stood at Rs. 328 crores compared to Rs. 311 crores in the corresponding quarter last year, reflecting a growth of 5%. For the first half of the year, EBITDA was Rs. 679 crores against Rs. 642 crores in the same period last year, registering a growth of 6%. EBITDA margin for the quarter was 24% and 26% for the first half.

Excluding the impact of mark-to-market foreign exchange losses, EBITDA margins were in line with our guidance of 27% (+/-1%) for both the quarter and the first half. Mark-to-market FOREX loss in other expenses stood at Rs. 41 crores in current quarter and Rs. 66 crores in half year, whereas there was FOREX gain in other income of Rs. 40 crores in current quarter and Rs. 49 crores in half year. Hence, excluding FOREX loss impact, EBITDA margin in current quarter stood at 27% in first half, it was at 28%. We remain confident of a sustained EBITDA of 27% plus /minus 1% for rest of the two quarters.

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During the quarter, PAT was at Rs. 260 crores against Rs. 216 crores, a growth of 20% , and in half year, PAT was Rs. 516 crores against Rs. 462 crores, a growth of 12%. In current quarter and half year, our PAT margin stood at 19%.

Income tax stood at 23% for first half of the current year and is expected to remain in the range during the year.

We incurred CAPEX of Rs. 145 crores in first half of the current year and is expected to be in line with our guidance of Rs. 300 crores for the whole year.

Trade receivables increased to 101 in a day from 94 days, primarily due to the discontinuation of factoring and the adoption of working capital loans to benefit from lower interest costs. This change remains neutral to the P&L as we hold matching investments for a similar amount giving similar return to the interest outgo. On the other hand, inventory levels showed a significant improvement standing at 56 days compared to 72 days in the previous year, reflecting the results of our sustained efforts to enhance the efficiency of our working capital cycle.

With these highlights, I open the floor for the question-and-answer. Thank you

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Thanks a lot, sir, for the opportunity. Sir, just on domestic formulation side, number of new-to-market launches has been pretty less for first half of FY26. So, if you could just share your comments for remaining second half as well as FY27.

Rajesh Agrawal: I think they have been very selective and strategic in nature. We have fulfilled the gaps wherever we have felt that there is a need for a new product launch. And this trend will continue even for the second half of the year. I do not expect to cross it or to launch brands where we are not very confident of the future growth potential of those segments of those brands. So, we are quite happy with the number of launches we have done.

Tushar Manudhane: Got it. Sir, on the US side, we have been pretty strong for the first half that we might sustain for FY26. If you could just further sort of extend the thought process for FY27-28 considering the R&D spend which we are doing now ?

Yogesh Agrawal: As you have seen, beginning of the year also, we had given the guidance that US will be a healthy growth and that is what is playing out. And I also shared the reasons for that , because we had launched five new products in the previous year second half and three new products got launched in the first half. So, we were able to get a good market share for all these products and able to do a good

execution of that. So, I think the current quarter performance is what you can take it as going forward for the next two quarters also. We should be able to sustain this kind of run rate for the current quarter.

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I think FY27 and '28, probably let us talk little later in the year. But we believe that US going forward also should perform well, should go maybe in high -teen growth for sure next year.

Tushar Manudhane: Got it, sir. Thanks. That 's it from my side.

Moderator: Our next question comes from the line of Bino Pat hiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good afternoon. Just wanted some understanding of the nature of the FOREX loss. You mentioned that it is a cancellation loss. Where does that arise from?

Arvind Agrawal: See, we do hedging of our export sales. So, that hedging because the euro moved very sharply during the first half , because of that the mark -to-market losses have been booked there , but on the other side, we also have gains because of the outstanding which we have from the export d ebt or . So, practically, it is nullifying. Only thing is that because of the accounting norm, the loss is booked in the expenses, whereas the income goes into other income , because of that, that clarification of EBITDA is there. Otherwise, we are absolutely protected.

Bino Pathiparampil: Understood. And for the full year, do you maintain the earlier margin guidance adjusted for the FOREX losses?

Arvind Agrawal: Yes, please. Absolutely.

Bino Pathiparampil: Okay. Thank you.

Moderator: The next question comes from the Abdul kader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Hi, sir. Thank you for the opportunity and congratulations on good set of numbers. So, just wanted to understand first on your EBITDA margin guidance while we are maintaining status quo but as compared to say the first half where we have seen 28% kind of an EBITDA margin, and the outlook for all the segments at least from a top line growth is robust , I just wanted to understand why is there a cautious view on margins when the top line growth is going to improve ahead as well?

Arvind Agrawal: See, what is happening is that the top line growth is very robust, as you rightly said, very true. But we are also simultaneously investing on peo

ple and products. That is something which is very, very important. And I think we are still talking about 27% plus /minus 1%. So, we are very confident that in spite of all the expenses or investment, which we are doing in branded generic markets, etc., we are still going to get the same EBITDA margin, which we are getting now.

Abdulkader Puranwala: Got it, sir. And just one more on the working capital increase. So, if I go through your cash flow, then in the first half the cash flows from operations have been little weaker as compared to where we were historically. So, just wanted to have a recall on the trade receivable commentary what you made

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on your opening remarks , can you please elaborate on that , how is that impacting your overall cycle, please?

Arvind Agrawal: I will tell you. See, last year, we did factoring for our receivables in US. This factoring were done in Q3 at that time. Somehow, we found that the interest cost for working capital is much better, we will get the advantage. So, we switched over from factoring to working capital. So, you will see the borrowing in the balance sheet now, and you will also see the receivables i ncrease. So, it is just the effect of factoring going out and receivable coming in back. So, that is where the trade r eceivables have gone up.

Abdulkader Puranwala: Understood, sir. All right, sir. Thank you so much and I will join back the queue.

Arvind Agrawal: Thank you.

Moderator: Our next question comes from the line of Bharat Celly from Equirus. Please go ahead.

Bharat Celly : Hi, sir. Good afternoon and thank you for the opportunity. Sir, I just wanted to understand on the expense part . We have been investing in new products as well as the building of the MR team for the new divisions. So, how do you see th e ramp up as well as how long it will take for us to start seeing benefit on the EBITDA side as well as margin side when these new MRs will start contributing positively?

Rajesh Agrawal: I think let us say about one, one and a half to two years, because to optimize the productivity of new teams, especially in the new segments, it will take some time. But the MRs that we have added in the existing segments and the divisions that we have launched in the cardiology last year and dermatology, we are quite confident that they will start to yield results faster , because we already have a good presence in those segments. So, it is very hard to pinpoint and say exactly by which quarter and which year. But the efforts are on with full throttle to get them up to the productivity level that we are already at.

Bharat Celly: So, when we talk from the margins perspective, so is it possible for us to go back to the margins like 30% probably in the next two years or will largely the investment still remain around 27 %-28% from the long -term perspective?

Yogesh Agrawal: I think, probably if you compare Ajanta's margins or margins with the rest of the pharma companies,

we are probably one of the top three or top five companies who have this kind of margins. So, I think the correct way to look at would be to see what is the growth we are posting on the top line and the bottom line. That would be the correct measure instead of focusing purely on the expansion of the margin, because there is always the forward-looking expenses which comes in. So, the field expansion will keep continuing in some shape or form in some quantity. There will always be some forward-looking expenses which will come in. So, I think guiding towards that kind of expansion of

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30% or plus probably will not be the right metrics to look. I think the correct metrics would be to see what is the growth we are posting year-over-year on the top line and the bottom line.

Bharat Celly: I was wondering whether our aspiration is to go towards higher margin or we will be more investing towards the growth? So, that is what I was trying to understand.

Yogesh Agrawal: No, we are of course driving for the growth and that is how you have seen we have added people in the field whether it was India or international market and that is reflecting in our P&L. Currently, our employee expenses have grown by 21%. So, there is an addition of the people all around even our other expenses have gone up. So, the growth does remain and increasing in the market share remains a very prime importance and that will always continue to be there. At the same time, we are also looking at what is the growth we are putting on the bottom line as well. So, both put together, I think we are comfortable and we are happy with the growth which we are posting.

Bharat Celly: Surely. And how many MRs or the person nel we are looking to add in the next 18 to 24 months, is there any ballpark which we can look at?

Rajesh Agrawal: In the domestic, we do not have any particular ballpark or a number set. We will decide as we go along based on the need and the growth in the existing divisions. But however, we can, I mean broadly going by the past trend, maybe we can look at about a couple of hundred in the next one and a half, two years.

Bharat Celly: And for the export side?

Yogesh Agrawal: For the export side for the whole year, we are looking at about 10% to 12% increase in the field size for the current year and next year, it should be in the range of about 7% to 8%.

Bharat Celly: Surely, sir. That is very helpful. Thanks a lot.

Moderator: The next question comes from the line of Abhishek Jain from AI fAccurate. Please go ahead.

Abhishek Jain: Thanks for the opportunity and congratulations for the good set of numbers. Sir, as you mentioned that other expenses have gone up because of the addition of the MRs in India, just wanted to understand number of MRs in India and plus Asia and Africa at this point of time in Q2 FY26 end?

Arvind Agrawal: We now currently have total 5,680 people in both India and the other markets put together as on today.

Abhishek Jain: Okay. And how is the bifurcation in India versus Asia and Africa?

Arvind Agrawal: India is 3,600 people and Asia, Africa, it is 2,080 people.

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Abhishek Jain: Okay, sir. Got it. And sir, what was the INR versus Euro and INR versus USD in this quarter realization?

Arvind Agrawal: I did not get your point.

Abhishek Jain: Sir, what was the realization of INR versus Euro and INR versus USD in this quarter?

Arvind Agrawal: Our realization including these forward-looking which we have done. Okay? For dollar it is 86 and for Euro it is 98.

Abhishek Jain: And how much is the current hedging in overall FOREX?

Arvind Agrawal: Almost 50%.

Abhishek Jain: Okay. And sir, my last question on this, if you can throw some more light on the segment wise EBITDA, a ballpark number on the different geographies or segments like US generic and Africa branded and Asia branded?

Arvind Agrawal: No, we do not give geographical EBITDA margin. Sorry for that.

Abhishek Jain: So, in this quarter US generic has shown a very impressive number. So, is there any margin improvement over there?

Yogesh Agrawal: Sorry, I did not get your question.

Arvind Agrawal: He is saying because US is very strong, whether it has also contributed in the margin.

Yogesh Agrawal: Yes, naturally, of course. The EBITDA margins in the branded generic business is higher as compared to the US market. So, naturally the US business which has done well, it has also given a contribution to the gross margin and the PAT also.

Abhishek Jain: Okay. Thank you, sir. That is all from my side.

Moderator: Our next follow-up question comes from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Sir, just this clarification. Firstly, on th

is number of MRs that to be added in India on 3 ,600 base, say in second half or next 12 -months ?

Arvind Agrawal: No, the total MR for India is 3 ,600 and for EM it is 2 ,000 around. So, for India, we are talking about 100 people maximum in the next one year, whereas in the emerging market, we are talking about 10% this year and 7 % to 8% next year.

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Rajesh Agrawal: In India, we said 200 over the period of two years, because the question then was one and a half to two years. So, this is an estimate. This is not a fixed number. There are no definitions. But going by the past trend, this is what I estimate.

Tushar Manudhane: Got it. And s ir, secondly, on this switching from factoring model, any particular reason you would like to call out or highlight and is this something which now we are going to sort of continue in the foreseeable future if you could throw some light on this aspect?

Arvind Agrawal: Yes. I think we will continue this structure now, because this is little advantageous in terms of the interest rate. So, we are getting a benefit of at least 2 % to 3% compared to factoring. So, that is why we have switched over and this is very beneficial for the company.

Tushar Manudhane: And you are seeing the other companies also sort of trying to put such kind of structure as far as US market goes?

Arvind Agrawal: Honestly, we do not know what is happening there, but at least for us, this has really worked out very well. So, we thought it is better to really continue and as I mentioned in my commentary also, it is neutral to P&L because a similar amount of investment is being made here and with the same interest rate, so, practically P&L is absolutely neutral.

Tushar Manudhane: Got it. And sir, if you could at least give a few insights into the inventory level reduction in terms of how differently we have worked on to manage the working capital as far as inventory is concerned?

Arvind Agrawal: I think it is a continuous effort we are doing for the last three years now. We are consistently working on that particular area, both on the receivable and on the inventory and now those results are coming to us. In fact, it is an effort which is ongoing and we will continue to work on it.

Yogesh Agrawal: What you are saying in the first half is slightly on the lower side. I think going forward, it may inch up a little more from here. I think this is not sustainable. Right now we are at 56 -days, we are expecting it should go about 65 -days or so. I think the 70 -days odd is a realistic figure. Probably we should operate below that.

Tushar Manudhane: Understood sir. Thank you.

Moderator: The next question comes from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal : Yes, good afternoon. Yogesh ji, you mentioned about better growth in Africa region for FY26 versus the previous guidance. So, what is giving confidence of better growth here?

Yogesh Agrawal: No, generally the way we are seeing the trends, I think we feel for the next two quarters, our growth should be better than what we had guided earlier. Also the next two quarters, our base for the previous

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year was slightly lower. If you see, currently we are trending at about Rs. 230 crores in the last two quarters and Q3 and Q4 of the previous year, they were on an average Rs. 150 crores -odd quarters. So, based on that, if we continue our current trend, even if we are not able to sustain the current trend rate, even slightly lower, still we will be able to post the good growth.

Alok Dalal: Okay. And for next year also, can we assume double -digit growth to sustain?

Yogesh Agrawal: For which market?

Alok Dalal: For the Africa market only ?

Yogesh Agrawal: Yes, yes. Africa, we are looking at a double -digit growth for the next year.

Alok Dalal: And Rajesh,

for the cardiac division in India, we are seeing sustained underperformance versus the IPM. So, what are the reasons for that and what are the steps being taken to reverse that?

Rajesh Agrawal: So, there is a huge anomaly that is there in the IQ VIA reporting of Ajanta growth rates versus what we have recorded internally. Now, if you look at the covered market or the cardiac market growth rate is 12% and Ajanta growth rate being reported is 6% , whereas our internal actual growth rate on the sales side is matching with the IPM growth rate of the cardiac segment. So, there is no underperformance there itself. We are in talks with IQ VIA to see how this anomaly can be taken out and what could be the reasons why there is such a big gap. It usually does not happen. So, we have had couple of rounds of discussions and the talks are on to find out which brand and why this gap is existing. I am not too worried as I said and why also is what I expressed. Having said that, of course, there is always room and scope for us t o grow faster and the effort is on. And hopefully, this anomaly should come out or iron out in itself in the next couple of quarters. I hope that answers your question.

Alok Dalal: Yes. So, it is basically a reporting issue from IQVIA perspective that the company reported numbers are tracking well ?

Rajesh Agrawal: Precisely. Yes.

Alok Dalal: Yes. Okay. Okay. Thank you, sir. Thank you for taking my question s.

Rajesh Agrawal: Thank you very much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr.

Yogesh Agrawal for closing comments.

Yogesh Agrawal: Thank you , everyone for joining this call. In case if there are any further questions that remain unanswered today, please reach out to our investor relations team. Thank you so much.

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Arvind Agrawal: Thank you everybody for joining the call.

Rajesh Agrawal: Thank you.

Moderator: On behalf of Ajanta Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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MANAGEMENT : MR. YOGESH AGRAWAL – MANAGING DIRECTOR –
AJANTA PHARMA LIMITED
MR. RAJESH AGRAWAL – JOINT MANAGING
DIRECTOR – AJANTA PHARMA LIMITED
MR. ARVIND AGRAWAL – CHIEF FINANCIAL OFFICER
– AJANTA PHARMA LIMITED
MR. RAJEEV AGARWAL – VICE PRESIDENT , FINANCE
AND INVESTOR RELATIONS – AJANTA PHARMA
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Ajanta Pharma Q3 FY 2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star, and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Agrawal, Managing Director of Ajanta Pharma Limited. Thank you, and over to you, sir.

Yogesh Agrawal : Thank you. G ood afternoon, everyone, and welcome to Ajanta's earnings call. With me today, I have Mr. Rajesh Agrawal, our Joint Managing Director; Mr. Arvind Agrawal, our CFO ; Mr. Rajeev Agarwal, our VP, Finance and Investor Relations.

I hope all of you have received the results by now. For the overall business performance, we have now completed the third quarter and first 9 months of the current financial year on a strong note. For the quarter, our revenue from the operations grew by 20 % and our margins remained resilient despite higher investments in operating expenses.

All our businesses are shaping broadly in line with our plans and we remain confident about sustaining this growth momentum going forward. This trend is also reflected in our returns. As of December 2025, our return on capital employed stands at 34% and re turn on net worth stands at 26%, reinforcing our position among the best performing companies in the industry.

Let me take you through the different business verticals. I will start with the branded generic business in Asia and Africa, which contributed 40% of total revenue. We continue to invest heavily in people, products and market expansions to ensure long -term consistent growth. I'll give you the overview of Asia first.

During the quarter, Asia branded generic business sales stood at Rs. 288 crores compared to Rs. 316 crores last year, reflecting a degrowth of 9%. For the 9 -month period, sales stood at Rs. 902 crores compared to Rs. 888 crores last year, registering a growth of 2%. Asia performance was modestly below our internal plan, driven by softer -than-anticipated performance in the few markets.

We remain confident that the business will return to its normal growth trajectory over the coming quarters. During the 9 months, we launched 13 new products, largely in chronic therapies, which strengthens the long -term quality and sustainability of the Asia business.

Now we move to Africa. During the quarter, Africa branded business sales stood at Rs. 230 crores compared to Rs. 173 crores last year, registering an impressive growth of 33%. For the 9 -month period, sales stood at Rs. 679 crores compared to Rs. 617 crores last year, reflecting a

growth of 10%. During the quarter, we launched 1 new product taking the total number of launches to 7 during the 9 months of the year.

At the beginning of the year, our internal plan envisaged double -digit growth from Asia while Africa was expected to deliver modest mid -single digit growth. Over the course of the year, the Ajanta Pharma L imited

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performance mix evolved differently. Africa delivered stronger -than-anticipated performance surpassing our initial plan for both the quarter and the 9 -month period. Asia, on the other hand, remained modestly below our original plan due to softer traction i n certain markets. Overall, our branded generic business continues to remain in line with our guidance, and we are confident of continued healthy performance over the coming quarters.

Let us talk about other 2 verticals of international business now. U.S. generics. As guided earlier, the U.S. generics business delivered an excellent performance. During the quarter, U.S. generic s business

sales stood at Rs. 399 crores compared to Rs. 263 crores last year, registering an impressive growth of 52%.

For the 9 -month period, sales stood at Rs. 1,052 crores compared to Rs. 723 crores last year, reflecting robust growth of 46%. The strong performance was driven by 8 new product launches over the last 12 months, supported by consistent execution and strong customer relationships. The U.S. generic s business contributed 26% of the company's total revenue during the 9 -month period. We continue to remain a preferred partner for the distributors and customers due to a reliable supply, quality standards and committed execution.

Moving to Africa institution. During the quarter, Africa institution business sales stood at Rs. 41 crores compared to Rs. 33 crores last year, registering an excellent growth of 22%. For the 9 -month period, sales stood at Rs. 111 crores compared to Rs. 118 crores, reflecting a moderate degrowth of 6%.

The institution business contributed approximately 3% of the company's total revenue during the 9 -month period. We expect modest growth for the full year with Q4 performance anticipated to be stronger than the first 9 months.

Now I invite Mr. Rajesh Agrawal, our Joint MD. Thank you, and over to you.

Rajesh Agrawal : Thank you. Good afternoon, everyone. I will now take you through the India business performance. We have completed current quarter and 9 months on a strong growth for the India business. In current year, India business contributed 31% to the company's total revenue, supported by the launch of 16 new products, including one first time in the country.

During the current quarter, sales stood at Rs. 409 crores compared to Rs. 345 crores in the same quarter of the previous year , registering an excellent growth of 19%. In 9 months of the year, sales stood at Rs. 1,250 crores compared to Rs. 1,083 crores in the previous year, registering a healthy growth of 15%.

Our India business also includes revenue from the trade generics segment which contributed Rs. 48 crores in Q3 against Rs. 43 crores, a growth of 10%; and in the first 9 months, Rs. 139 crores against Rs. 130 crores, a growth of 7%.

I will now take you through Ajanta's performance as per IQVIA MAT December 2025. We continue to outperform the Indian pharmaceutical market by 28% as per IQVIA MAT December 2025, with Ajanta delivering an impressive growth of 11% compared to IPM's 9%.

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We continue to exceed volume growth by 47% to IPM and new launches by 59%. This positive trend is evident across most therapeutic segments in which we operate, where our growth has consistently outpaced the segment growth. We remain confident of sustaining this momentum in the coming quarters. In the covered market, we are fifth largest in IPM and among top 10 in all our therapeutic segments as per IQVIA MAT December 2025.

Cardiologic contributed 36%, followed by ophthalmology, 30%; dermatology, 24%, with the remaining 10% coming from pain in India branded sales. You may observe that the growth in cardiology segment as per IQVIA is slower than IPM, but our internal growth nu mbers indicate growth in line with the IPM. This appears to be due to some anomaly in the IQVIA data, and we are in touch with them to resolve the same.

The new therapy of gynaecology is taking good shape and is expected to contribute meaningfully to the revenue in the coming years. I am pleased to share that during the quarter, we added 150 medical representatives across our existing therapy areas, taking the total additions for the current year to 300.

With this, our overall MR strength now stands at 3,750 MRs. The newly onboarded teams are being integrated swiftly with a strong focus on accelerating productivity and driving effective field execution.

With this, I now invite Arvind Agrawal, our CFO, to take you through the financial performance.

Thank you, and over to you.

Arvind Agrawal: Thank you, and good afternoon to all. Before we begin, I would like to mention that during this call, we may make certain forward-looking statements. These statements are based on management's current expectations. And are subject to risks and uncertainties that may cause actual results to differ materially. The company does not undertake any obligation to update these statements publicly.

I will now take you through the consolidated financial performance on a year-on-year basis.

Total revenue in the third quarter stood at Rs. 1,375 crores compared to Rs. 1,146 crores last year, registering a healthy growth of 20%. For the 9-month period, revenue stood at Rs. 4,031 crores compared to Rs. 3,478 crores last year, reflecting a growth of 16%.

As you may have observed, our diversified business segments have consistently helped us maintain growth momentum over the years despite temporary softness in some markets, which is a normal part of business. Growth during the year so far has been mainly driven by the India branded business and the U.S. generic segment.

Gross margin stood at 79% for the quarter and 78% for the 9-month period. For the full year FY '26, we expect gross margin to remain around 78% plus or minus 1%.

Personnel costs for the quarter stood at Rs. 331 crores compared to Rs. 265 crores last year, reflecting an increase of 25%. For the 9-month period, personnel costs were Rs. 950 crores

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compared to Rs. 810 crores last year, reflecting an increase of 17%. The increase was mainly due to medical representative additions across brand and generic businesses over the last 12 months. During the quarter, the Government of India's new labour code became applicable. Based on our initial assessment, an additional provision of Rs. 7 crores has been made towards liabilities arising from the new code.

Other expenses for the quarter stood at Rs. 376 crores compared to Rs. 302 crores last year, reflecting an increase of 24%. For the 9-month period, other expenses stood at Rs. 1,140 crores compared to Rs. 918 crores also reflecting an increase of 24%. These expenses represent our continued strategic investment in products, brand and people across our branded generic portfolio. We expect other expenses to broadly remain in line with trends seen during the current quarter.

R&D spend, which is included within personnel and other expenses remained at around 5% of the total revenue and is expected to continue at similar levels. R&D expenditure for the quarter stood at Rs. 63 crores compared to Rs. 53 crores last year. For the 9-month period, R&D spend stood at Rs. 182 crores compared to Rs. 161 crores last year.

EBITDA for the quarter stood at Rs. 382 crores compared to Rs. 321 crores last year, reflecting a growth of 19%. For the 9-month period, EBITDA stood at Rs. 1,061 crores compared to Rs. 962 crores last year, registering a growth of 10%. EBITDA margin stood at 28% for the quarter and 26% for the 9-month period. Excluding the impact of mark-to-market foreign exchange movement, EBITDA margins remained in line with our guidance of 27% plus or minus 1% for the 9-month period. Mark-to-market forex loss recorded under other expenses stood at Rs. 61 crores during the 9 months, while forex gain under other income stood at Rs. 53 crores.

Excluding this impact, EBITDA margin for the 9-month period would have been around 28%. There were no mark-to-market losses during the quarter. We remain confident of maintaining EBITDA margin of 27% plus or minus 1% for the remaining period and for the full year.

Profit after tax for the quarter stood at Rs. 274 crores compared to Rs. 233 crores last year, reflecting a growth of 18%. For the 9-month period, PAT stood at Rs. 789 crores compared to Rs. 695 crores last year, reflecting a growth of 14%.

PAT margin remained stable at 20% for both the quarter and the 9-month period.

The effective tax rate for the 9-month period stood at 23% and is expected to remain in a similar rate for the full year.

Capital expenditure during the 9-month period stood at Rs. 235 crores and is expected to be in line with our full year guidance of around Rs. 300 crores.

With this, we now open the floor for questions and answers.

Moderator: Our first question comes from the line of Tushar Manudhane from Motilal Oswal. Ajanta Pharma Limited

Tushar Manudhane: Sir, firstly, some clarification on the growth guidance which you gave for full year '26, if you could just repeat?

Arvind Agrawal: It is in line with what we said, mid -teens growth for the whole year.

Tushar Manudhane: Understood. And sir, secondly, on gross margins, which has seen significant improvement for the quarter and wherein you've seen geographies like U.S. growing at a much higher rate. So if you could just explain this improvement in gross margin and sustainability of gross margin?

Arvind Agrawal: I think what I just mentioned, I think you should consider 78% plus/minus 1%. Some variations keep on happening quarter -to-quarter. But overall, I think we are very confident that we should be able to maintain it at about 78% plus/minus 1%.

Yogesh Agrawal: And for the U.S. business, we have launched 8 products in the last 12 months which we are now seeing the full year benefit of that. Plus, we have seen the increase in the market share for some few products. And also, we have one seasonal product for the flu, where basically the season starts in the December, January. So that also aided growth for the current quarter. The combination of all these three aspects, it has resulted into a very robust growth of the U.S. business.

Tushar Manudhane: Got it sir. So now that the launch benefit has been sort of reflected entirely and we end FY '26 on a very strong note as far as U.S. business is concerned, given the pace of launches, if you could guide may not be in terms of exact numbers per se, but how do you think about FY '27 for U.S. geography?

Yogesh Agrawal: It should be good only, but I think it will be a bit early to give the guidance from that. I think let's do that in the next quarter when we have all our plans closer and then we'll have more concrete numbers in terms of our budgets, which are finalized. But overall, I think the growth probably will not be in the similar line of what we have seen in current year. But I think we should be able to post double -digit growth for sure.

Tushar Manudhane: And just lastly on this, how much would have been the constant currency growth for U.S. business?

Yogesh Agrawal: Come again?

Tushar Manudhane: Sir, how much of the constant currency growth for U.S. business for 3Q 9 months, FY '26?

Yogesh Agrawal: I think I don't have that figure right now. Yes, I will share it later. We've seen some dollar movement. Our growth is, of course, for the volume growth is far bigger than the currency rupee appreciation.

Tushar Manudhane: Got it. That's it from my side. I will join back in queue.

Moderator: Thank you. Our next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

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Abdulkader Puranwala: Sir, first on the India growth of close to 19%. Sir, you mentioned the cardiology portfolio has grown in line with the pharma market growth or the like -to-like basis growth. But what exactly has driven this outperformance, if you could highlight?

Rajesh Agrawal: No, I think it's mostly a little bit of seasonal also for us in some sense. But at the same time, we have had some very good activities and very good customer connect. That has happened. Like I said, our gynaecology has done much better than what

at we were expecting. Dermatology, as you would have seen, we have gained two ranks. So we outperformed the market by nearly 2x the growth rate. So these are the segments that have contributed better than what we were expecting.

Abdulkader Puranwala: Understood. And so would the 150 reps that you have added this quarter, and I believe in international geography as well. So where exactly are the MRs getting deployed and any new product you're launching either on the GLP side, in India and overseas with your recent partnership? And should we think of this addition in that way or that will be over and above what you have done recently?

Rajesh Agrawal: Number of reps, what we have added in domestic are across these 4 therapeutic segments, and that is basically pan -Indian. So in that sense, there is no new division or new therapy launch. These are basically just to increase the coverage wherever our productivity was higher. We felt that we need to cover more effectively. So that is what it is.

For GLP, we will be launching in India under our own trademark, and we hope to be in the first wave of the product launches that will happen in the month of March. So that will naturally be factored into the growth plans of next year, which will start from April to next March. So that is what it is. I don't know if you have or do you have any other question on this ?

Abdulkader Puranwala: Yes. So with regards to GLP, then your overseas partnership with Biocon, if you could shed

some light as to how the arrangement is?

Yogesh Agrawal: So the arrangement will be that they will be supplying the finished product. They have the finished products. They have all the required data, which they have filed in all the emerging markets and we have tied up with them for 26 countries where 23 is exclusive tie-up with us. Three countries semi-exclusive, which means semi-exclusive is they can come back on their own or they can give to one more.

So at the most, they can give one more company other than Ajanta. So we are looking to start filing the dossiers from Q1 in all our markets. And from 12 months onwards, we should start getting the approvals in various countries. So we are starting, we are looking, if all going well, from like I think 27-28, the revenues for the GLP-1 should start coming in. So it's fairly straightforward. They will give us the product. We will take and commercialize it in the 26 countries where we have a very strong ground presence through our field force and promo plans.

Arvind Agrawal: Yes, and it will be in our brand name.

Abdulkader Puranwala: So sir, fair to assume that this would be like a profit-sharing agreement or you would be paying some upfront fee, something like that, yes?

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Yogesh Agrawal: There is some confidentiality agreements which we have in place. So I'm not able to give the exact details. But it's a combination of all what we have just mentioned. It is going to be transfer price and there'll be some arrangement on some kind of mechanism on some profit share, things like that yes.

Abdulkader Puranwala: Understood. And sir, last one, if I may, just a bookkeeping question. On the depreciation expense, so that has been ranging a little higher as compared to what we have done last year. So what exactly is the reason for that?

Arvind Agrawal: Basically, we commenced one more manufacturing facility at Pithampur for the liquid line, which we announced last quarter. So that particular depreciation has already come in, in this particular quarter. So because of that, the depreciation is increasing.

Abdulkader Puranwala: Got it, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Aman Kumar Singh, an Individual Investor.

Please go ahead.

Aman Kumar Singh: Yes, good evening. I have 2 questions to ask. One is about the dividend payouts in terms of percentages of PAT, we have maintained both payout in terms of dividend and buyback in last

4, 5 years in a range between 60% to 80%. This year, we have given a payout of about 44%. Do we expect the similar kind of a payout from the trend what we have seen in the past?

Arvind Agrawal: I think it is still not decided because there is one more quarter, which is going to be there. So we need to take a call in the meeting. But as we mentioned, you must have seen the article on that, we are increasing our thrust on the acquisition. So if that happens, and in that case, maybe Board will advise accordingly. So I think we need to wait till quarter 4 for the decision of the Board.

Aman Kumar Singh: Yes. And another question is that we are nearing becoming a \$500 million turnover company what is our road map or a plan to go from \$500 million to \$1 billion company? Please elaborate on this?

Yogesh Agrawal: The plans are, it's an everyday progress which is being made. In the existing markets, we are continuously, as you have seen in the last 2, 3 years, increasing the field. We are increasing the therapeutic segments. In India, we have launched 2 new therapeutic segments. Internationally, we have got into the psychiatry portfolio.

The idea is to increase the new therapeutic segments. Internationally, we are looking to add at least one new therapeutic segment next year. So the idea is to increase our field presence in various markets, add new therapeutic segments. And we are also looking to expand into the new territories, possibly into the Latin America, which is probably, I think we're going to take a serious look at it. So there will be some new geographies also, which will get added in the coming time.

So with all this, I think we are expecting and hoping the growth momentum to continue in the coming years. It was there in the press also that we are actively looking for the acquisition also.

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And as it was the re in the news that we have Rs. 1,000 crores plus for that. So all those possibilities also do exist. Let us see if and when they materialize.

Aman Kumar Singh: Yes. And one last question I have is, like there was also a news article regarding -- although it was denied by the company that there can be an acquisition of non-related business from Ajanta

Pharma. So I hope that the denial is firm, and we are still only focusing ourselves on the pharmaceutical business?

Arvind Agrawal: Absolutely. We are very clear about this. You must have seen that later on, the clarification also came that it is by one of the promoters family office, not by Ajanta Pharma. Ajanta Pharma remains only in Pharma business, and we will continue to do this business only.

Aman Kumar Singh: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Kashish Thakur from Elara Capital. Please go ahead.

Kashish Thakur : Sir, just 2 questions related to India business, we have shown quite good numbers. Just wanted to understand the breakup of the India growth, like in the terms of volume growth, price and new products?

Rajesh Agrawal: Yes, sure. I will share that with you in a second. So volume growth, IPM is at 2.1%. This is the composition of 8.9% IPM growth and Ajanta has grown at 3.1% as per IQVIA. So we are 1.5x faster than the IPM in the volume.

And for the new products, IPM has shown a contribution of 2.5% in the growth and Ajanta has shown 3.9%. So again, nearly 1.5x the IPM growth rate in the contribution towards our 11.4% growth.

Kashish Thakur : Understood. And sir, what has to be the PCPM plus, although we've been adding around 150 during this quarter as well. So I wanted to know that?

Rajesh Agrawal: PCPM for the quarter, I'm not able to hear clearly, sorry.

Kashish Thakur : Yes, PCPM for the quarter ?

Arvind Agrawal: For the quarter, it will not be there. But I think for the

PCPM, if you want, for 9 months period, we are at about Rs. 3.6 lakhs per month.

Kashish Thakur : Understood, sir. Thank you.

Moderator: Thank you. Our next question is a follow-up from Tushar Manudhane from Motilal Oswal.

Please go ahead.

Tushar Manudhane: Sir, just on this GLP Semaglutide for Asia, Africa, while at least in India, it seems it's going to be a competitive market even in the first wave of market permission. If you could just provide

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certain insights on the Asia, Africa focused geography, how do you see the competition shaping up post-patent expiry in these markets where we have sort of tied up exclusively with Biocon?

Yogesh Agrawal: We believe that there will be more aggressive competition in India, which could be in the range of what 10, 12, 15 to 20 plus. But in our markets, we believe it will not be as aggressive. We are expecting it should remain around 4 to 6, depending on which companies get approval, what kind of, what time point, but it will not be high competition intensity in the emerging markets should not be as high as what we are going to see in India.

Tushar Manudhane: And subsequently, given this low competition, but from a pricing point of view, given your experience with the earlier products in, let's say, India, Asia, Africa, how do you see the pricing playing out given where per capita income, given the demand? Any color you can throw or it's too early to ask, whichever?

Yogesh Agrawal: I can give you a general sense. As you know, the DNA of Ajanta operates at an acceptable margin. We are not interested to sell the product without the margin threshold, which is good enough for us. So overall, the margin should be good only, decent only. And as I said, the pricing is also a factor of how much competition you will be having in the market.

And since we are not expecting as aggressive competition as we are going to see in India, we believe the pricing should remain pretty decent, and we are expecting some good margins.

Overall, I think that's the broader color which I can give you.

Tushar Manudhane: And would it require additional marketing in MRs or marketing spend or this product will get funneled to existing?

Yogesh Agrawal : Exactly. It will go through the existing in all our markets, we already have CVD presence, cardio diabetes presence is there in all our markets wherever we are going, we've tied up. And that's precisely the reason for us to go because it really complements our presence in this segment.

And the second is the weight loss. So both these segments, so our existing team will be able to handle this product. In fact, we'll be able to capitalize on this product better because we already have the relationships with the doctors in the field in this specialty.

Moderator: Our next question comes from the line of Dheeresh from WhiteOak. Please go ahead.

Dheeresh : Yes. Thank you, sir. Sir, I don't know if you already answered this. For 9 months, Asia is quite muted. So if you can just explain that, sir?

Yogesh Agrawal : No particular reason, I can say. I mean, we started the year, as I said in my opening comments, hoping that Asia will probably post a double-digit growth. But somehow we've seen some low traction in certain countries. Because of that, our growth has been slightly below what we would

have liked it to be. But I think we are very confident structurally, fundamentally, there's nothing wrong.

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I think we are hoping that Q4 onwards itself, we will start seeing the revival and we will start posting some good growth. So also, there were some exports which got delayed I think.

Dheeresh: Is it like [inaudible 0:33:38] secondary thing?

Yogesh Agrawal: That also a little bit. There were some exports which got delayed shipments from the Q3, which will get pushed over

to the Q4. So had that supplies also come in, the Q3 would have looked better than what it is right now. So that also effect we will see in the Q4, the Q3 spill over into Q4, and then we should be able to catch up.

Dheeresh: Understood. And Arvind ji, did not see any forex loss in other expense. I was surprised by that because of a hedge book, should have had mark-to-market loss, right?

Arvind Agrawal: Fortunately, everything got booked into the second quarter. And fortunately, the closing of quarter 3 was lower than the quarter 2. So because of that, there was no loss at all during this quarter.

Dheeresh: That was the case for USD, but euro was lower only, right?

Arvind Agrawal: Euro was there but we got some benefit in euro also.

Dheeresh: Okay, very nice. And sir, last question. This Biocon partnership is also for India? It's not for India, but for emerging markets?

Arvind Agrawal: No, it's only for Emerging markets.

Dheeresh: Okay. So sir, the responsibility for approval is for the regulatory approval is on us or is it Biocon?

Arvind Agrawal: It is on us. Biocon will only provide the dossier, but the responsibility in terms of approval is ours.

Dheeresh: There is a process called COPP route. So we are following that or we are going through individual -- or we are going through a COPP route, sir?

Yogesh Agrawal: No. COPP route is applicable for Europe. No, I think it is not there in the emerging markets except there are a few countries in Africa, which have this mutual recognition, but mostly it is individual countries only.

Moderator: Our next question is from the line of Umesh Laddha from Nirmal Bang. Please go ahead.

Umesh Laddha: So sir, if you see that in last 9 months, our US business is almost 50 percentage up. So is it that the only newer products are contributing for this 50% growth? Or it is the older products also which have started to grow in volume terms?

Yogesh Agrawal: Yes. As I mentioned, older products also we have increased the market share in some of the important products, and that also is one of the factor besides the new products.

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Umesh Laddha: So like will it be fair to assume that the older products would have grown by almost like 15% and then the rest is only the new launches, roughly?

Yogesh Agrawal: Difficult to give you exact granular details as much. But I can say that it's a combination of both, new products as well as the existing products, both. And as I mentioned in the Q3, the small bump up also happened because of the flu seasonal product, which we have, which sells typically in December, Jan, Feb. So it starts November, December, Jan, Feb, 3, 4 months when we have the sales for that product.

Umesh Laddha: Got it. And sir, just wanted to note that in which on therapeutic segments, are we majorly present in US, if that's okay?

Arvind Agrawal: US as such, there is no focus on therapeutic segment. It is the opportunity which we really look at the individual product opportunity. So therapeutic segment is not much, but CNS is there. And mostly, it is oral solids.

Moderator: The next question is from the line of Dhruv Maheshwari from Perpetuity Ventures LLP. Please go ahead.

Dhruv Maheshwari: Hi, sir. I just have one quick question. If you can provide a guidance on how should we look at the impact of labor costs on staff labor costs on the staff cost going forward?

Arvind Agrawal: We have already provided for it. So we have provided Rs. 7 crores of fees in the employee cost on account of the new Labor Code regulation. So there will be an additional liability on account of gratuity and pay, which has already been provided in this quarter.

Moderator: The next question is from the line of Foram Parekh from Bank of Baroda Capital Markets. Please go ahead.

Foram Parekh : My first question is on the Asia business. W

e have seen softness due to softer traction in certain markets. So could you name the markets where we are seeing softer traction?

Yogesh Agrawal : Unfortunately, we don't give such granular details of the country -wise or things like that. But yes, I think that's all about as much as we can.

Foram Parekh : Okay. So could you just give us a guidance like for FY '26, what are we guiding for full year for Asia branded and Africa branded?

Yogesh Agrawal : So, I think Asia, we should be able to post mid-single -digit to high -single -digit.

Foram Parekh: For FY '26?

Yogesh Agrawal : For the FY '26 for the Asia.

Foram Parekh: Okay.

Yogesh Agrawal : And for Africa, we should probably post the low -double -digit, I think.

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Foram Parekh : Okay. And can we give guidance for FY '27 as well?

Yogesh Agrawal : It's too early. I think let's wait for the next quarter.

Foram Parekh : Okay. My second question is on the India business. We mentioned that gynecology is picking up well. So if you can give us some more color, like how big is the therapy now? Or how much does it contribute to the India business? Some color there?

Rajesh Agrawal: The contribution is insignificant , primary reason being it's a very new therapy to have any meaningful contribution to the entire India business, which will take some years. What is very important and encouraging is the fact that we are getting good acceptance from the gynecologists.

Our brands have been picked up well in an otherwise highly competitive segment. We are able to make a good inroad for ourselves. And we are fairly confident that in the next 2 to 3 years, it should become an important and a prominent therapy just the way we have developed the other 4 therapies. So I think that's what's more important.

Foram Parekh: Okay, that's helpful . And we mentioned that we will be participating in the GLP first wave. So the guidance for FY'27 will also include the GLP accountability. So could you just -- I mean, give us the number, like what guidance should we look at for FY'27 India business?

Rajesh Agrawal: Again, it's still in the works. We would rather focus on the current quarter or last quarter. I think we'll come out with the guidance in the Q4 earnings call. I think that will be more firm and better in that sense. But yes, we will be in the first wave of GLP launches. And that brand, that product will be included in the growth plans for the next year.

Foram Parekh: And lastly, if you can just help us understand the TAM that you're looking at for Asia market for the GLP products? Would it be like -- would some geographies have like \$1 billion kind of market? Or would it be lower? How should we look at it? And likewise for Africa as well?

Yogesh Agrawal: It will not be to that level, our African markets are not comparable to Europe or US .

Foram Parekh: But Asia?

Yogesh Agrawal: So, yes, Asia can do better than Africa, but not in the tune of billions of dollars. I think currently, yes, it's very difficult to put a number on it. But it's a growing segment, you know that it's every year is growing exponentially -- we've never seen a launch of a product like this in the longest time. Already globally, it's become, I think, what, \$35 billion, \$40 billion and \$25 billion, each \$50 billion and it's still growing at 25%, 30%. So I'll hesitate to put any number on the market size of these products. It's still -- it's evolving.

Foram Parekh: Sure no problem. That's helpful. Thank you.

Moderator : Our next question comes from the line of Kunal Randeria from Axis Capital.

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Kunal Randeria: Sir, I'm quite not able to wrap my head around this 19% domestic growth. So I appreciate you trying to give a bit more color. Is it because since the net organic is largely new, is there some channel filling hap

pening here? Or is there some recovery in cardiac which led to higher primary sales? Because there is a fair bit of discrepancy between what you actually reported and what the IPM numbers suggested?

Arvind Agrawal: Yes, you are right. Because see, ultimately, this 19% neither it is a channel filling nor it is something which is a bump up. It is something which is normal sales. What happens is that every quarter, there is some traction, which comes into some of the segments , and that is what is happening in this quarter.

There is absolutely nothing really abnormal in this case. And as you see, every year, this quarter is a very good quarter. And next quarter will be a little lower because as you must have seen, over last 4, 5 years, our last quarter is always low. So that is what is going to happen, but I think it's in the normal course. There is no channel filling or there is no abnormal thing at all.

Kunal Randeria: So no particular therapy you would like to announce?

Rajesh Agrawal: The IPM is recording Ajanta growth at 14.8% for Q3. So IPM, IQVIA, I'm sorry. IQVIA is showing a near 15% growth for Ajanta. So this is all pure secondary groups that they are reflecting. As against that, our internal growth is 19%.

Kunal Randeria: No particular therapy, right? I mean all therapies are starting to do well, right? I have done well?

Yogesh Agrawal: Yes. In the 15% that they are reporting, cardiology is lesser than what we are actually recording internally, right? So if you add that back to 15%, it will come up to 19% or 18% or whatever the number may be. So it's essentially exactly the same what we are actually posting...

Kunal Randeria: And sir, just one more clarification. Sir, you mentioned that you have been having some sales force in our export businesses. Is it in the existing markets? Or is it still some new frontier like LATAM or Anglo Africa that you're targeting?

Yogesh Agrawal: Not able to understand. In the existing countries only.

Kunal Randeria: And sir, can you give us some guidance on how much the expansion is yet to take place in the next couple of years?

Yogesh Agrawal: Expansion in terms of what?

Kunal Randeria: Sales force, sir.

Yogesh Agrawal: Next few years is a very long outlook to give. I think I will restrict to the current year. I think let's talk about next year in the next quarter con call.

Kunal Randeria: Sure. Thank you.

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Moderator: Thank you at this time. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Mr. Yogesh Agrawal for closing comments. Over to you, sir.

Yogesh Agrawal: Thank you, everyone, for joining this call. In case if there are any further questions that remain unanswered today, please reach out to our Investor Relations. Thank you.

Moderator: Thank you. On behalf of Ajanta Pharma, that concludes this conference call. Thank you all for joining us. You may now disconnect your lines.

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"Ajanta Pharma Limited
Q4 FY 2026 Earnings Conference Call "
May 05, 2026

MANAGEMENT : MR. YOGESH AGRAWAL – MANAGING DIRECTOR –
AJANTA PHARMA LIMITED
MR. RAJESH AGRAWAL – JOINT MANAGING
DIRECTOR – AJANTA PHARMA LIMITED
MR. ARVIND AGRAWAL – CHIEF FINANCIAL OFFICER
– AJANTA PHARMA LIMITED
MR. RAJEEV AGARWAL – VICE PRESIDENT , FINANCE
AND INVESTOR RELATIONS – AJANTA PHARMA
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Ajanta Pharma Q4 FY 2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Agrawal, Managing Director of Ajanta Pharma Limited. Thank you, and over to you, sir.

Yogesh Agrawal: Thank you. Good afternoon, everyone, and welcome to Ajanta Pharma's earnings call. With me, I have Mr. Rajesh Agrawal, our Joint Managing Director; Mr. Arvind Agrawal, our CFO; Mr. Rajeev Agrawal, our VP, Finance and Investor Relations.

I hope all of you have received the financial results by now. I will take you with our overall business performance first. It is a pleasure to share that Ajanta has achieved several important milestones in FY 2026, with revenue surpassing Rs. 5,000 crores and net profit crossing Rs. 1,000 crores. This marks a significant step forward in our growth journey. The year reflects strong well-rounded performance across all areas of business, reinforcing the strength of our strategy and execution.

Our revenue from operations grew by 21%, while margins grew by 18%, reflecting strong operating performance alongside continued investments to support future growth. All our businesses are progressing in line with our plan, giving us confidence in sustaining this growth momentum in the coming periods. This strength is also evident in our returns. As of March 2026, return on capital employed stood at 33% and return on net worth at 25%, underscoring our position among the best performing companies in the industry.

Now moving on to the business details. Let me take you through our key business verticals, starting with the Branded Generics business in Asia and Africa, which contributed 38% to total revenue. We continue to invest consistently in people, portfolio expansion and market development to support sustainable long-term growth.

Let's move to Asia. During the quarter, the Asia Branded Generics business recorded sales of Rs. 274 crores compared to Rs. 303 crores in the same period, reflecting a decline of 10%. For the full year, sales stood at Rs. 1,175 crores versus Rs. 1,191 crores last year, a marginal decline of 1%. While we had expected a recovery in Q4, geopolitical developments in the Middle East led to significant supply chain disruptions, impacting dispatches during the quarter.

For the full year, the performance remained below our internal expectations, largely due to logistic challenges. We remain confident that the business will regain its growth momentum in coming quarters. During the year, we launched 15 new products, primarily in chronic therapies, further strengthening the quality and sustainability of Asia business.

Let's move to Africa. During the quarter, the Africa Branded Generic business delivered strong

performance with sales of Rs. 182 crores compared to Rs. 133 crores last year, registering a growth of 37%. For the full year, sales stood at Rs. 861 crores versus Rs. 750 crores last year, Ajanta Pharma Limited
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reflecting a growth of 15%. During the quarter, we introduced 1 new product, taking the total launches for the year to 8, supporting continued expansion in the region. Overall, our Branded Generics business continues to progress in line with our guidance and we remain confident of delivering healthy performance in the coming quarters.

Let us move to another 2 verticals with our International business. U.S. Generics. As indicated, the U.S. Generic business delivered an excellent performance. During the quarter,

sales stood at

Rs. 505 crores compared to Rs. 325 crores in the same period, reflecting a strong growth of 56%. For the full year, sales reached Rs. 1,557 crores versus Rs. 1,047 crores last year, registering a robust growth of 49%. This performance was driven by 8 new launches over the past 15 months, supported by consistent execution and strong customer relationship.

On the back of this momentum, the contribution of the U.S. Generics business to total revenue increased to 29% during the financial year. We continue to be a preferred partner for distributors and customers, anchored in reliable supply, strong quality standards and disciplined execution. We now move to Africa Institutional. During the quarter, the Africa Institutional business reported sales of Rs. 48 crores compared to Rs. 28 crores last year, delivering a growth of 71%. For the full year, sales stood at Rs. 160 crores versus Rs. 147 crores, reflecting a growth of 9%. The Institutional business contributed around 3% to the company's total revenue during the financial year. At the start of the year, we had anticipated a softer performance. However, improved order flow in the second half supported a steady performance for the full year.

Now I invite Mr. Rajesh Agrawal, our Joint Managing Director. Thank you, and over to you.

Rajesh Agrawal: Thank you. Good afternoon to all of you. I will take you through the performance of our India business. We have concluded both the fourth quarter and the financial year on a strong note. I am glad to inform you that Ajanta is now among the top 25 companies in the Indian pharmaceutical market as per IQVIA MAT March 2026. Our ranking has improved to rank 24th against rank 26th last year.

During the year, the India business contributed 30% to the company's total revenue, supported by the launch of 26 new products, including five first-time launches in the country. During the just concluded financial year, our revenue reached at Rs. 1,654 crores versus Rs. 1,452 crores in the previous year, registering a healthy growth of 14%.

In the fourth quarter, our sales stood at Rs. 404 crores compared to Rs. 369 crores in the same quarter last year, reflecting a growth of 9%. Our India business includes revenue from trade generics segment, which contributed Rs. 49 crores in Q4 for both years. For the full year, trade generics recorded sales of Rs. 188 crores compared to Rs. 179 crores last year.

Let me now take you through Ajanta's performance as per IQVIA MAT March 2026. We continue to outperform the IPM by a healthy margin with Ajanta delivering growth of 13% compared to the IPM growth of 10%. We also continue to lead in volume growth and new product introductions relative to the market.

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This momentum is visible across most of our key therapeutic segments, where our growth consistently exceeds the segment growth. The data variance in IQVIA for our cardiac portfolio continues for this quarter, and we are hopeful to get this resolved over time. We remain confident of sustaining our growth trajectory in the coming quarters.

In the covered market, we rank among the top 5 companies in the IPM and feature within the top 10 across all our core therapeutic segments. Cardiology contributed 36% to the India branded sales, followed by ophthalmology at 31% and dermatology at 23%, with the remaining 10% coming from the pain segment. Our new therapy in gynaecology is progressing well and is expected to contribute meaningfully to our future growth. During the year, we added around 300 medical representatives across our therapeutic areas, taking our total field force to approximately 3,750 MRs. The newly onboarded teams are being integrated with a clear focus on productivity and effective field execution.

With this, I invite Mr. Arvind Agrawal, our CFO, to take you through the financial performance of the

company. Thank you, and over to you, Arvindji.

Arvind Agrawal: Thank you, and good afternoon to all. Before I begin, I would like to mention that during this call, we may make certain forward-looking statements. These statements are based on management's current expectations and are subject to risks and uncertainties that may cause actual results to differ materially. The company does not undertake any obligation to update these statements publicly.

I will now take you through the consolidated financial performance on a year-on-year basis.

Coming to revenue. Total revenue for the fourth quarter stood at Rs. 1,422 crores compared to Rs. 1,170 crores last year, reflecting a healthy growth of 21%. For the full year, revenue reached Rs. 5,453 crores versus Rs. 4,648 crores last year, registering a robust growth of 17%. Our diversified business model continues to support consistent growth even as certain markets experienced temporary variations, which are part of normal business cycle.

Coming to the gross margins. Gross margins stood at 79% for the quarter and 78% for the full year. We expect gross margins to remain around 77% with a variation of plus or minus 1% in the coming year. Personnel costs for the quarter stood at Rs. 341 crores compared to Rs. 280 crores last year, reflecting an increase of 22%. For the full year, personnel cost stood at Rs. 1,291 crores versus Rs. 1,090 crores last year, an increase of 18%.

This increase was partially contributed by the addition of medical representatives across our Branded Generics businesses. Also, during the year, the Government of India's new Labour Code became applicable, and based on our assessment, an additional provision of Rs. 9 crores has been made towards related liabilities.

Coming to other expenses. Other expenses for the quarter stood at Rs. 443 crores compared to Rs. 310 crores last year, reflecting an increase of 43%. This includes a mark-to-market hedge loss of Rs. 42 crores. Excluding this, the increase was 29%. For the full year, other expenses stood at Rs. 1,583 crores versus Rs. 1,228 crores last year, an increase of 13%. This includes a mark-to-market hedge loss of Rs. 103 crores.

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Excluding this, the increase was 21%. The hedge loss was on account of depreciation of the INR against the U.S. dollar and euro during the year. The increase in expenses reflects our continued strategic investment in product, brand and people across the Branded Generics portfolio. We expect other expenses to remain broadly aligned with current trend.

Coming to the R&D. R&D spend included within personnel and other expenses remained at 5% of total revenue and is expected to continue at similar levels. R&D expenditure for the quarter stood at Rs. 70 crores compared to Rs. 63 crores last year. And for the full year, it stood at Rs. 252 crores versus Rs. 224 crores last year.

EBITDA for the quarter stood at Rs. 333 crores compared to Rs. 297 crores last year, reflecting a growth of 12%. For the full year, EBITDA stood at Rs. 1,395 crores versus Rs. 1,260 crores last year, registering a growth of 11%. EBITDA margin stood at 23% for the quarter and 26% for the full year. Excluding the impact of mark-to-market foreign exchange movement, EBITDA margins remain aligned with our guidance of around 27% for the full year.

The mark-to-market forex loss recorded under other expenses stood at Rs. 103 crores, while forex gain and other income stood at Rs. 97 crores. We remain confident of maintaining EBITDA margin of 27% with a variation of plus or minus 1% in the coming year as well while making further investment in developing our market.

Profit after tax for the quarter stood at Rs. 267 crores compared to Rs. 225 crores last year, reflecting a growth of 18%. For the full year, PAT stood at Rs. 1,056 crores versus Rs. 920 crores last year,

reflecting a growth of 15%. PAT margin remained steady at 19% for both the quarters and the full year.

Coming to the tax rate, the effective tax rate for the year stood at 23%. It is expected to increase in the coming year as one of our manufacturing facilities transition out of the exemption period.

Capital expenditure for the full year stood at Rs. 330 crores, in line with our guidance. As we embark upon new capex cycle to meet our continued growth requirements. We expect capex to increase to around Rs. 400 crores in the FY 2027, which includes Rs. 150 crores of maintenance and balance for new capacity expansion.

Working capital -- trade receivables stood at 125 days compared to 94 days last year, reflecting the shift from factoring to working capital loans, enabling better interest efficiency. This remains neutral to the P&L, supported by corresponding investment income. Inventory levels improved to 63 days from 72 days last year, reflecting continued focus on enhancing working capital efficiency.

With this, we now open the floor for question and answer. Thank you.

Moderator: Thank you very much. Your first question comes from the line of Sidharth Negandhi from CWC. Please go ahead.

Sidharth Negandhi: Hi. Thanks for the opportunity and congrats on a good set of numbers. Just wanted -- question one, if you can share your PCPM in the domestic business? Second, if you could give some color
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in terms of how are you looking at the generic semaglutide opportunity? Primarily from what I understand, you're looking at this outside India. And what's the update on that? Yes, that's the two questions.

Rajesh Agrawal: For the second part, generics, you are referring to the generics in the domestic market, the trade generics?

Sidharth Negandhi: Generic semaglutide in -- outside of India is what...

Rajesh Agrawal: Okay. I will hand it back -- hand that over to...

Yogesh Agrawal: Yes, outside of India, we are going to start our filing this quarter. And normally, the approvals takes somewhere between 1.5 years to 2 years. So as and when we keep getting the approvals in various markets, we will keep launching. So yes, I think it is work in progress. We'll see as the filing happens and what approvals we get and we'll keep launching them.

Sidharth Negandhi: Got it. And I'm assuming India is not as much of a focus market for semaglutide? Or is that not the case?

Rajesh Agrawal: India is also a focus market for us, and we are in the race for sure. It's too early to comment on how it will pan out, but we are definitely one of the contenders. And on the productivity, the PCPM for the last full year has worked out to 3.7 lacs per man per month.

But keep in mind that this is also after the addition of 300 more representatives that we have made in the current year and maybe a couple of 500+ more last year which are yet to come to this level. So we have been keeping on incrementally adding to our field strength. So therefore, it may seem what it looks like right now.

Sidharth Negandhi: Got it. That's helpful. If you could just give me a sense of -- given that -- given the significant additions to the field force, for the mature field force, what's the average PCPM and how much is that higher by? Maybe that gives a sense of how that steady-state PCPM then looks like?

Arvind Agrawal: I think Rs. 4 lakh to Rs. 4.5 lakh of which is the steady-state PCPM we are looking for.

Sidharth Negandhi: Got it. Thank you.

Arvind Agrawal: Okay. Thank you.

Moderator: Thank you. Your next question comes from the line of Avnish Burman from Vaikarya. Please go ahead.

Avnish Burman: Hi. Good evening. Thanks for taking my question. Sir, just your comments on the impact on the business because of the ongoing Middle East conflict. And you can -- I mean, it will be great if you can divide it into how you are managing

the cost in your domestic business versus the international business?

Yogesh Agrawal: I didn't get your question. How are we managing what?

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Avnish Burman: The increase in costs that you would have experienced because of the Middle East conflict, the increase in cost of either raw material or utilities.

Yogesh Agrawal: Yes. So the freight have increased, both air and sea across geographies. It is not only restricted to the Middle East supply, but the freights have increased in general for the air and sea. Since last quarter was only one quarter we saw the impact, we will come to know for the next full year how the cost will sit because it's still an evolving landscape where how long this war continues and whether it will settle and after that what will be the cooling off. So I think that is yet to be seen. And we are seeing the increase in the RM -PM cost also.

But since last quarter, we had inventory with us, we did not see the impact of the same in the quarter. And maybe coming quarter also, it may not be as impacted because there were some inventories and some old orders given. But I think if the war continues, I think going forward, a quarter after, probably we should start seeing some increase in the cost of the goods also, RM -PM cost as well as the freight cost.

Avnish Burman: Okay. So the freight and the insurance cost increase that you are witnessing right now, are you able to pass it on to your customers or are you partly absorbing it in your P&L?

Yogesh Agrawal: It is absorbed by us in our P&L.

Avnish Burman: Okay. And just last question. Let's say the war -- I mean, the conflict lasts for longer than your inventory. Then in that case, the RM -PM cost that is increasing, will that also will be borne by the marketing company like yourself or is it like passed on to the entire supply chain like the CMO partners and the customers? How does it happen?

Yogesh Agrawal: No, it is absorbed by us only. It is absorbed by the manufacturing companies.

Avnish Burman : Okay. Great. That was my question. Thank you so much.

Moderator : Thank you. The next question comes from the line of Tushar Manudhane from Motilal Oswal.

Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Firstly on the EBITDA margin guidance, with FY 26 we have ended with 27.7% EBITDA margin. Maybe Q4 is relatively weaker quarters additionally. Just trying to understand why the EBITDA margin guidance is lower at 27% for FY 27. That's my first question. Given that we have decent growth across the geographies?

Arvind Agrawal: Yes, that is sure. The growth will definitely be there. But however, as you know, we are investing quite a bit on the market in terms of product range especially in terms of the MR addition across the markets. All that investment is going on. So that investment also is some thing which is charged to P&L. We are also proposing to increase the filing across the markets. So that also will increase the R&D cost a little bit. So all these things will definitely impact the profitability. So we are currently looking at all these aspects and then giving you the guidance of 27%.

Tushar Manudhane: Sir, how many MRs we intend to add in India for FY 27?

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Arvind Agrawal: I think about 5% to 6% is something we are looking at.

Rajesh Agrawal: In the range of 250 to 300 MRs

Yogesh Agrawal: There is some disturbance on the line. I'm not able to hear.

Moderator : That is -- I'm sorry to interrupt. This is the moderator. Tushar, sir, if you can self-mute the line when the management is answering the question because there's a lot of background noise coming from your line.

Tushar Manudhane: Sure.

Rajesh Agrawal: Yes. So we are looking at an addition of 250 to 300. This is a very broad ballpark working. Of course, it will keep

unfolding every quarter. This is to optimize the coverage as we go along.

Tushar Manudhane: This is for India market. For Asia, Africa market also do we intend to add MRs?

Arvind Agrawal: Yes, we are intending to add MRs even in Asia and Africa also, again, 5% to 6%. So you can imagine about 130-150 people will be added here as well.

Tushar Manudhane: And now the -- this is -- sorry. Coming back to India market MRs, this would be largely spread out across the therapies or this is more for a specific therapy as far as FY 27 MR addition is concerned?

Rajesh Agrawal: Across all therapies, all teams.

Tushar Manudhane: Got it. And just lastly, how much would have been the inventory days for U.S. market?

Yogesh Agrawal: We don't give out such breakup of the inventories market-wise.

Tushar Manudhane: Sir, broadly, not specific. But in general, how much inventory we carry for U.S. market?

Yogesh Agrawal: Oh, that way. Normally, we carry about 3 months inventory, yes.

Tushar Manudhane: Okay. So effectively -- which is where we are concerned that Q1 presumably can be still okay in terms of execution, but this Middle East issue might -- given that we are already sitting in May, so what kind of sort of visibility we have as far as 2Q -- or maybe like the second quarter onwards availability of material both in terms of raw material as well as availability of finished goods for U.S. market or for other geographies, if you can share your thoughts?

Yogesh Agrawal : So guidance which we have given is considering all those factors, considering what are the prevailing rates of RM -PM and if they will continue going forward, the freight rate what are prevalent currently, they are going forward. So those are factored in into the guidance which we've given of 27% EBITDA. So any change positive or negative in that will have the corresponding impact on the guidance number in coming quarters.

Tushar Manudhane: Understood. And just on the revenue growth, so what -- maybe I missed the guidance on the revenue growth for FY '27.

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Yogesh Agrawal : Revenue -- yes, go ahead. Yes.

Arvind Agrawal : No go ahead, sir.

Yogesh Agrawal : No, overall for the company, we are looking at the guidance of , CFO, do you have the figure?

Arvind Agrawal : High teen figures, high teen growth, sir.

Yogesh Agrawal : High teens, high teens, yes.

Arvind Agrawal : Yes.

Tushar Manudhane: 16% to 18%, right?

Arvind Agrawal : Yes. Tushar, high teens is absolutely we are really looking at.

Moderator: The next question comes from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Sir, my first question is pertaining to your India business. So this quarter as compared to the first 9 months, we have seen some bit of a slowdown in the India business, where the growth has been 9.5%. So if you could help us understand any market-leading factors or we expect to bounce back from this current growth level in the coming quarters ahead?

Rajesh Agrawal: If you look at the annualized performance, we have recorded 14% growth, which is significantly higher than the IPM growth rate as well as the covered market and the sub segment growth rate.

This 1 quarter has been an aberration due to inexplicable kind of reasons.

However, if I correlate that with the SMSRC prescription data as well as the IMS secondary data, they are all very positive. So in interim period, they will all fall in line. I don't see this to be any cause of concern.

Abdulkader Puranwala: Understood, sir. And sir, secondly, on the Asia business, where I heard your commentary that the performance was not in line with our expectation. So any sense on what is the kind of standard inventory into the system? And by, say, the first half or second half, we should be back to delivering at least some sort of growth into this business?

Yogesh Agrawal: Yes. So we

have seen that logistics have been now streamlined. In a way -- when I say streamlined, earlier the inventory stocks which were on the high seas, they got stuck, they got localized at various places where they were in the transit and they were not moving. But at least now the logistics have been sorted out, just the time line has increased, the total transit time because it has to be routed at multiple ports and somewhere it has to be then hauled on the surface.

So you see slowly the logistic have been coming in place, just the transit time has increased.

With this, we have not seen any demand challenge or the demand has not been impacted. It was more of a supply chain concern or issue. With that supply chain now getting streamlined, in fact, we are looking in the next year, our guidance for the Asia is in the high double digits. So we should be able to deliver a good performance.

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Abdulkader Puranwala: Got it, sir. And sir, just one final one, if I may. So on your U.S. business. So again, a very still quarter on that front. But if you can guide us something on how the trajectory going ahead would be and how confident are we on achieving this over Rs. 500 crores of revenue what we have seen in this quarter and moving into FY '27?

Yogesh Agrawal: No, this whole year has been exceptionally strong on the back of various things which we have been giving the commentary in the earlier earnings calls of number of products we launched in last 15 months, the increase in market share of the products. And also this quarter is also elevated because we have one seasonal product, which is for the flu. And typically, we see the demand for that, purchase for that happens in this quarter, somewhere slightly in December, but most of it happens in this quarter, starting January.

So generally, the quarter is slightly elevated and this quarter also got slightly more elevated because of certain other factors which I just explained. So I think going forward for the next year, we are looking at a mid-single digit growth for the US business considering that for the whole year we have delivered an extremely robust growth of 49%. As the base is very high, on back of that, we are projecting to be a mid-single digit growth for the year.

Moderator: Your next question comes from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: A couple of questions. One, how is the shipments to Middle East happening? Is it happening normally, or has it spiked?

Yogesh Agrawal: I just answered that a minute back, but I'll repeat. Earlier when the conflict started, the shipment was stranded at whichever place they were. But now they were rerouted. And barring the air shipments when the conflict is on. But otherwise, we've seen that the sea shipments have kind of resumed. And it's taking longer to reach because they have to be rerouted from different ports, somewhere it has to be hauled to the surface. So overall, the supply chain issue, the supplies, the logistics have settled. It is just taking longer and cost has gone up significantly.

Bino Pathiparampil: Got it. Second, your revenue guidance of high teen, does it take into account the high depreciation in INR?

Rajesh Agrawal: Sorry, the last part was not audible. Including account what?

Bino Pathiparampil: Take into account the depreciation in INR.

Rajesh Agrawal: Depreciation in INR.

Yogesh Agrawal: Yes, yes. So it is considered on the current exchange rate, whatever is the period.

Bino Pathiparampil: Current exchange. Got it. Okay. And if I heard correctly, the raw material cost increases that are currently there, that has been built into your EBITDA margin guidance of 27%.

Yogesh Agrawal: Correct.

Bino Pathiparampil: Okay. Got it.

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Yogesh Agrawal: Cost of RM -PM as well as the freight, bot

h are in-built in the guidance which we have given, increased cost on the freight.

Moderator: The next question comes from the line of Rohan from Envision Capital.

Rohan: So sir, this question was in regards to the USFDA inspection that happened in our Paithan plant. So just wanted to understand what is the kind of impact this can have in our plans going forward and for the supply that we are doing today?

Yogesh Agrawal: No. So the 483 as we have informed on the stock exchange, we have got 5 observations for our Paithan facility. There are some procedural or some other kind of things which we have to comply, meeting to the FDA requirement. So we are moving forward to submit our response to the FDA as per the prescribed timeline. And yes, that is the thing on the 483.

Rohan: So sir, just wanted to understand, will this impact any of our filings that we've planned to launch or any of our existing products? I mean just wanted to understand on that side.

Yogesh Agrawal: No, no. The impact can be seen only if there is any elevated concerns. So there are no impact on the filings also. We continue business as normal.

Moderator : Thank you. The next question comes from the line of Udhayaprakash from Value Research. Please go ahead.

Udhayaprakash : Yes. So I just have a couple of questions from my side. The first one being, you have been pretty consistent in terms of new product launches in the recent year. So if you could give a round breakup on, let's say, over the last 2 years, what is the revenue generated by these new product launches?

Rajesh Agrawal: Okay. That figure we don't have it at hand at this moment. I would advise you to e-mail it to the Investor Relations team. Then we'll come back to you. However, what I can share with you is last 12 months, the breakup composition of the , 13% growth which Ajanta has registered as per IQVIA now across 2026. So our new product contribution within that is 4.7% out of 13% as against the industry, which stands at 2.8% out of 10%. So our new product contribution is significantly higher compared to the industry new product contribution for that growth.

Udhayaprakash : Just to know the overall growth prospects and everything, are we highly dependent on consumption of new product launches ? I get that new products have to be launched, but let's say we go behind or due to some kind of issue, we are not able to follow up on the target that we have set for new product launches. Will that have a material impact on revenue? Or existing products or older products will continue to grow at the same pace as they did when they were launched?

Rajesh Agrawal: Yes. So interesting question. They are totally disconnected from one another. Our base volume growth is also much higher, 30% higher than the industry volume growth, right? So which means my legacy brands, my larger brands such as MET XL, Cinod, ATORFIT range, Triple combinations and all of those are growing at a very healthy pace. So while I deliver exceptionally

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well on the new products, I'm also able to build better than the industry in terms of the existing and the older brands. So they are not interlinked as such in best of my experience.

Udhayaprakash : Okay. And for the last question, I just want to get a picture of the promoter pledged shares . If we look at the number, over the last 1 year, it has risen a bit. And I get that we pledged shares to avail loan facility and everything. But since we generate adequate cash flow, we do not require much of loan also. So what is the thought process? Or is it for personal reason or is it purely for company loan facility. I just want to get a brief or overall picture on why shares have been pledged and why has it been increasing for the last 1 year?

Arvind Agrawal: Yes, I'll tell you. See as far as Ajanta Pharma's promoters are concerned, there are 4 brothers who

are owning the shares. Out of that, 2 brothers, Mr. Rajesh Agarwal and Yogesh Agarwal, both of them are in the helm of Ajanta Pharma. And there are 2 other brothers who are developing their own business. So for their new businesses, they are pledging the shares and borrowing for that. So it's nothing to do with Ajanta Pharma borrowing at all.

Udhayaprakash : Okay. And if I can.

Arvind Agrawal: Yes. Sorry?

Udhayaprakash : Yes, yes, it's okay. Please go ahead.

Arvind Agrawal: Yogesh and Rajesh Agrawal, they don't have any pledge at all. So there is 0 pledge from their

side. It's only the other 2 brothers who are developing their new businesses, so they have pledged the shares to borrow the money.

Udhayaprakash : Okay. If I could just squeeze in one last question. You had given a very strong guidance for Asia business for the next year. I just want to know what is the basis for the guidance in the sense that are you expecting growth in any particular geography? Or is it any therapeutic area or any new product launches that you are anticipating? I just want to get the overall guidance. I know that you cannot go into specifics, but let's see?

Arvind Agrawal: Yes. I think it is basically on the back of the low performance last year because Asia has de - grown minus 1% in the last year. So naturally, that lower performance was basically again because of the logistic issues which are there in Middle East. So I hope we should be able to really recover that and should be able to grow in high double -digits.

Udhayaprakash : Okay thank you that's it from my side.

Moderator: Thank you. The next follow -up question comes from Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Sir, just on the guidance again, where U.S. probably would slow down in FY27, India doing better than IPM, but IPM itself probably would grow at 8% to 10%. So effectively Asia, Africa would be the strong growth driver. So in Africa also what is it that -- if you can just -- we have already grown at 15% in Branded Generics for full year. So what kind of factors will drive much higher growth in Africa market? So that's my first question.

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Yogesh Agrawal: Africa also we are looking at a high double -digit growth. Africa also we should be able to perform well.

Tushar Manudhane: Okay. And this is -- in a way semaglutide will actually contribute in any of the geographies, probably FY28 only?

Yogesh Agrawal: No, no, there is no semaglutide which is factored in there. This is from our existing business, addition of people which we've done over the 2 last years. Addition of people, just 125 which we have done here.. That may not contribute so much. But all the new people, products which we have launched over last year or 2 years, that is going to contribute to this growth.

Tushar Manudhane: And as far as capex is concerned, it's at the existing site, the growth capex?

Yogesh Agrawal: CFO, can you take that?

Arvind Agrawal: Yes. This will be on the existing site because we have the extra land available in the existing site. So capex will be there.

Yogesh Agrawal: So we are looking at about Rs. 150 crores of routine capex, maintenance capex, and Rs. 250 crores of capex for the capacity additions and expansions there.

Tushar Manudhane: Got it. And just lastly, how much effective tax rate for FY27?

Arvind Agrawal: We are expecting about 26% to 26.5%.

Tushar Manudhane: All right, sir. Thank you.

Yogesh Agrawal: Thank you.

Moderator: The next question comes from the line of Vamsi from ASK IM. Please go ahead.

Vamsi: Hi, sir. Thanks for the opportunity and congratulations on a good set of numbers. Sir, so we have guided for a mid -single -digit growth in the U.S. formulations business. So are there firstly any launches that you are scheduling for the next year? Or is it going to be that the existing base business

itself is going to kind of continue at that rate? That is my first question.

Yogesh Agrawal: So there are launches which are planned. There are about 4 to 5 launches which will be planned. But they are all going to go towards the later second half of the year. So there will be some growth coming in from there also. But most part of first half will be existing products.

Vamsi: Understood, sir. Also, coming back to the semaglutide opportunity, so while the filings are happening currently as we speak, how do you envisage the launches to happen? And at what point could it reach a material scale? Maybe anywhere between Rs. 100 crores to Rs. 150 crores kind of a top line contribution?

Yogesh Agrawal: I think it will be 2 years by the time product will get commercialized in various markets. I think third year from today is when we should start seeing the revenues, and probably fourth year would be where we will have launched and we would have probably increased our penetration

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in the market and got some market share. So I think 3 to 4 years is the time when we should start seeing this kind of meaningful impact in the sales and profitability.

Vamsi: Understood, sir. Thank you and all the best.

Yogesh Agrawal: Thank you.

Moderator: Thank you. The next follow-up question comes from the line of Sidharth Negandhi from CWC. Please go ahead.

Sidharth Negandhi: Thanks for the opportunity. Just wanted to understand, you mentioned high double-digit growth for Africa, right, low double-digit for Asia, mid-single-digits for U.S. and assuming the same level as FY26 for Africa Institution. India growth works out to be high double digits, upwards of 20%. Even if I take the lower end of your high-single-digit guidance, which is 16% growth for the overall business.

So if you could just help us get some understanding of broadly what's the range at which you're looking to grow the India business? And considering the India business has higher margins that you mentioned earlier, despite that, what's the reason for margins coming in around 27%? Yes, that's my question.

Arvind Agrawal : So first of all, I think Asia, you are saying low double-digit. Actually, it is high double-digit again. So that's what we mentioned. And for India, we are talking about mid-teens growth.

Sidharth Negandhi: Yes. And then on the margins?

Arvind Agrawal : Yes. On the margins, I think we never said India is higher or other margins are lower. Actually, the margins are quite well spread and the entire Branded Generic business is almost at the same level. The only thing which is happening is that we are investing in the market simultaneously for the future growth.

So product registrations, people additions, etc, is continuously going on. So that is why and also we have factored in some amount of increase in the freight cost and the material price cost due to the war situation for at least about 2 to 3 months. So all that has been factored in. And on that basis, we have given you the margin guidance.

Moderator : Your next question comes from the line of Foram Parekh from BOB Capital.

Foram Parekh: My first question is on the receivable days. We see a significant jump in FY '26. So what is the reason for the spike? And how should we look at it? I mean, is 125 days the normal base that we should consider or can it come lower?

Arvind Agrawal : So I think this is mainly because of the higher sales at US. As you are aware, the US outstandings are a little longer. And US sales were very, very high this year with 50% increase. So that is the contribution which has come in. And I think at this moment of time, I think we can consider this as a new normal now.

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Foram Parekh: Okay. And my second question is on your strategic priorities that you have mentioned in the presentation,

where one of the priorities is focus on digitalization. So just wanted to understand here, are we talking on the AI front?

And if yes, so just wanted to understand how this adoption of AI actually impact our P&L? And basically on the R&D side, does it increase our R&D expense or it lowers our R&D expense? If you can just throw some light there?

Yogesh Agrawal : No, we have embarked on the AI initiative and we are progressing well. We have formed a team in Ajanta Pharma and we have identified the areas. So yes, this is one of the priorities for us. But we've been on this journey for a while, not particularly AI. AI journey started, let's say, about last 3 months or so, 6 months or so.

But we have been on a journey of the digitalization in all our verticals, whether it is sales and marketing in India, sales and marketing in overseas markets, whether it is our facilities. So we have a heavy digitalization, which gives us a lot of rich data. And now our plan is to integrate that, take that data and apply a layer of AI on that and see how we benefit from all this data to make quicker decisions, sound decisions.

So that is going to be the focus for the current year for how we are going to use the data and see how we can impact, how can we make use of that for the benefit and building more efficiencies. But I don't think on the R&D front there is any significant impact that will be there because of something like this, at least not in the near term.

Moderator : The next question comes from the line of Ankit Shah from CRAMC.

Ankit Shah: My question pertains to the US market. Are you seeing any stability in the pricing environment or any restocking demand because of the logistics disturbances in that market? Any comment on that?

Yogesh Agrawal : No, I think logistics to US is not impacted, just costs have gone up. So there is no supply chain disruption any which way. So the market in US continues normal. So whatever the earlier factors of price erosion and things like that, they continue, which is the normal one. The war has no impact on the US business.

Moderator : Your next question comes from the line of Yogesh Soni from Haitong Securities.

Yogesh Soni: One question. I just wanted clarification on if the US business margins have improved and

whether they have reached nearer to our corporate level margins?

Yogesh Agrawal : We don't give out the vertical -wise margins. So I think I'm sorry, I will not be able to share those granular details.

Yogesh Soni: Okay. One more question. If you could just help me understand how much is the chronic share in the combined Asia and Africa branded generics market? Because for the past few quarters, we have been focusing on growing our chronic therapy areas in these markets. So if you could help me with the numbers?

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Yogesh Agrawal : I think combined figures, we may not have that right now.

Yogesh Soni: If you could broadly help me understand, I mean, how is the revenue split between chronic and acute in these 2 markets combined?

Arvind Agrawal : Broadly I think we can say that some markets are chronic with 80%, some markets are with 30%. But overall, if you take, I think it will be 50% chronic at this point of time. And we will stick with this portfolio consistently going forward.

Yogesh Soni: Understood. And sir, on the India business, it's been now 1.5 years since we have entered into gynae and nephro therapies. So if you could help us understand how the performance has been in these 2 new therapy areas? And how are we planning to grow these 2 therapies over the next 2 years?

Rajesh Agrawal : I had a short reference in the opening comment also. On the gynaecology, the progress has been very encouraging. We have been received very well in the segment itself by the key opinion leaders in that sense. So we are progressing very well in gynaecology

, better than what we were expecting internally.

I see that to be contributing meaningfully in the coming 2 to 3 years. So that is as far as gynae is concerned. We will also strengthen within gynaecology by way of adding more MRs in the coming year.

Nephrology, as we said, was a smaller task force, if you recollect, when we entered the segment.

It's a much more difficult segment to have a crack at. It will take some time, and we were prepared for that. But there are some positive signs, but it will take longer than what it is taking in the gynaecology segment.

Moderator : The next question comes from the line of Aditya Chheda from InCred Asset Management.

Aditya Chheda: Can you please break your India growth into price, volume and new product for FY '26?

Rajesh Agrawal : So overall, it has grown at 13.1% against IPM of 10%. And our growth breakup is as follows, 3.6% from the volume, price growth has contributed 4.8% and new product launches have contributed 4.7% to the total growth of Ajanta.

Moderator : The next question comes from the line of Niharika Agarwal from InCred.

Niharika Agarwal: So given your increasing exposure to US generics and Africa Institutional, both of which are tender-driven and competitive markets, how are you managing price erosion risk at the portfolio level?

Yogesh Agrawal : Can you come again with your question?

Niharika Agarwal: Yes. So I was saying given your increasing exposure to tender-driven and competitive markets, that is US Generics and Africa Institutional, how are you managing the price erosion risk at the portfolio level because both of them are highly competitive markets?

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Yogesh Agrawal : Yes. No, we always build in the price erosion every year in the guidance which we give out. So the forward-looking guidance for the next year also for each of these businesses we have given is considering those price erosion calculations as well.

Moderator : As there are no further questions, I would now like to hand the conference over to Mr. Yogesh Agarwal for closing comments.

Yogesh Agrawal : Okay. Thank you, everyone. Thank you for joining this call today. If there are any questions which got left unanswered, please reach out to our Investor Relations. Thank you for joining.

Arvind Agrawal : Thank you, everyone.

Moderator : Thank you, members of the management. On behalf of Ajanta Pharma, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.